

CAVENDISH UNIVERSITY – ZAMBIA



BUSINESS ADMINISTRATION MODULE

Business Administration.

Aims

This module provides knowledge of the nature and structure of the modern business organisation, the nature of enterprise and the role of profit. It explains the growth and its effect on the structure of an organisation, communication, inter-personal and group processes. It shows how each of the managerial functions contributes to the total operation of a business. It will examine the theories and skills required to be a successful manager.

Learning objectives.

On completion of this module a student should be able to:

- Describe the structure of a typical organisation, understand the processes that lead to its growth and their implications for its structure.
- Describe the principal functions of a business organisation.
- Understand the interrelationships between different business functions.
- Identify and demonstrate relevant management skills relating to self and others.

Content.

1. Nature of the organisation: organisational structure; the significance of profit; importance of objectives nature of objectives in private and public sectors enterprises and the organisation: the features, strengths and weaknesses of small scale organisations.
2. Growth of the organisation: pressures for and methods of attaining growth; implications of growth for management structure; specialisation and co-ordination,

nature of personal and bureaucratic structures and strengths and weaknesses of each, the ownership-control controversy, managerial objectives and their implications for nature of business enterprise; communications, interpersonal processes and group processes, organisational culture, handling change and conflict. The role of the manager and management styles.

3. Production: nature and elements of production of goods and services; types of production systems and their implications for management; costs and their relationship to growth and size of the organisation.
4. Finance: needs for short, medium and long-term finance; sources of finance, techniques of investment appraisal, elements of financial management and management accounting, profit and loss account, balance sheets and measures of financial performance.
5. People at work: role of HRM in organisations; planning, recruitment and selection process, training and reward systems, motivation and employment contracts.
6. Purchasing and the organisation: purchasing and uncertainty: organisation of purchasing and stock control outline of methods of stock control.
7. Elements of marketing: the difference between marketing and selling, the marketing mix, advertising and product promotion; channels of distribution and sales management.

Core Reading:

1. Mastering Basic Management by E.C. Eyre, published by Macmillan.
2. Modern Business by R.C. Appleby R.C. published by Pitman.

Assessment.

- 3-hour examination.
- Candidates must answer 5 out of eight questions.
- Candidates will be expected to show that they can apply their knowledge of economic theory and principles to the economy of the UK or their own country.
- Credit will be given for appropriate illustrations, using diagrams and examples.

Additional Reading:

1. Management Theory and Practice by G.A. Cole, published by D.P. Publications.
2. Understanding Organisation by Charles Handy published by Penguin.
3. Administration in Business by J Shaw, published by Pitman.

TOPIC 1: NATURE OF THE ORGANISATION

The Organisation Structure

Topic 4 Organisation

4.1 Learning objectives

After you have read this unit you should be able to

- Have an understanding of organization
- Have an understanding of coordination.
- Have an understanding of delegation
- Know the different organization structures.
- Distinguish between line and staff functions

4.2 Organizing

Involves determining and noting activities needed to achieve the objectives of the undertaking, grouping these and assigning such groups of activities to managers, ensuring effective delegation of authority to enable activities to be carried out and providing co-ordination of authority relationships. In other words organization is the means by which you arrive at your chosen destination. It is the how to do it and by whom.

Generally, organizing includes 5 steps:

- Reviewing plans and goals
- Determining work activities
- Classifying and grouping activities
- Assigning work and delegating authority
- Designing a hierarchy of relationships

4.3 Organizational structure

This is the way in which the organization divides its labour into distinct tasks and then achieves coordination. The key variables that determine the organization structure are

- Purpose /goals
- People
- Tasks
- Technology
- Culture
- External environment

4.4 Organisational levels

Flat

- Centralized authority
- Few authority level
- Wide span of control

Tall

- Decentralized authority
- Many authority levels
- Narrow span of control

Factors is determining levels

- size of operation
- nature of operation
- dominant management style

4.5 Types of organizational structure

- Functional organization. This is based on groupings of all the major business functions e.g. production, marketing finance, human resource.
- Product based. This is based on individual products or product ranges. E.g. Oral care, body care, household or vaccines, cosmetics.
- Geographical: this is based around appropriate geographical features regions, nations , continents,
- Divisionalised structure: - usually based on products or geographical or both and with certain key functions such as planning and finance reserved for headquarters.
- Matrix based and combination of functional organization with project based structures.
- Customer: usually based on customer e.g. Retail, Wholesale, Commercial, corporate.
- Process this is based on process e.g. new installation, power cut.

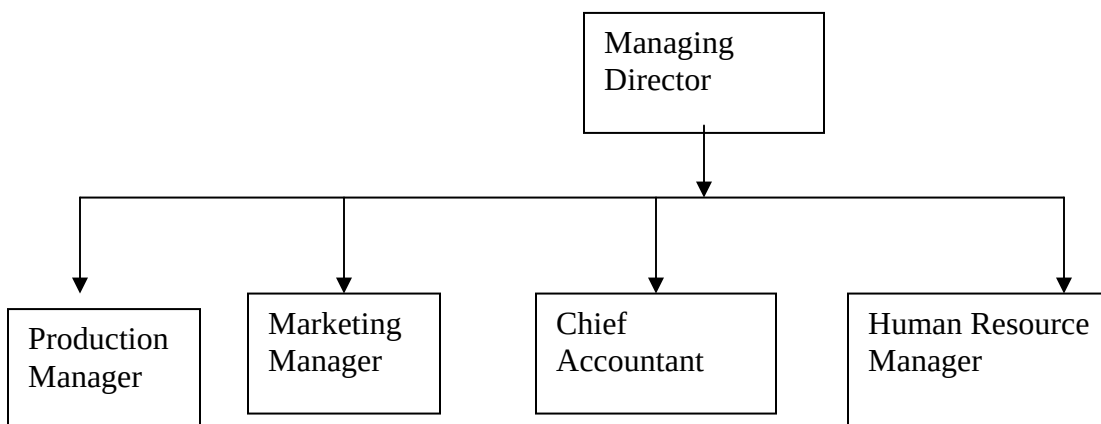


Fig 4.1 Functional Structure

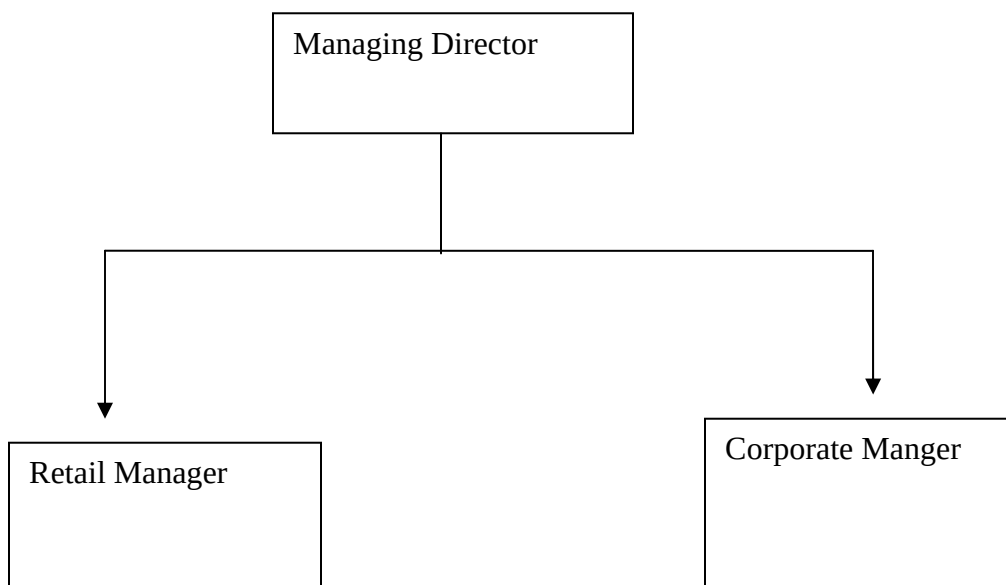


Fig 4.2 Based on customer

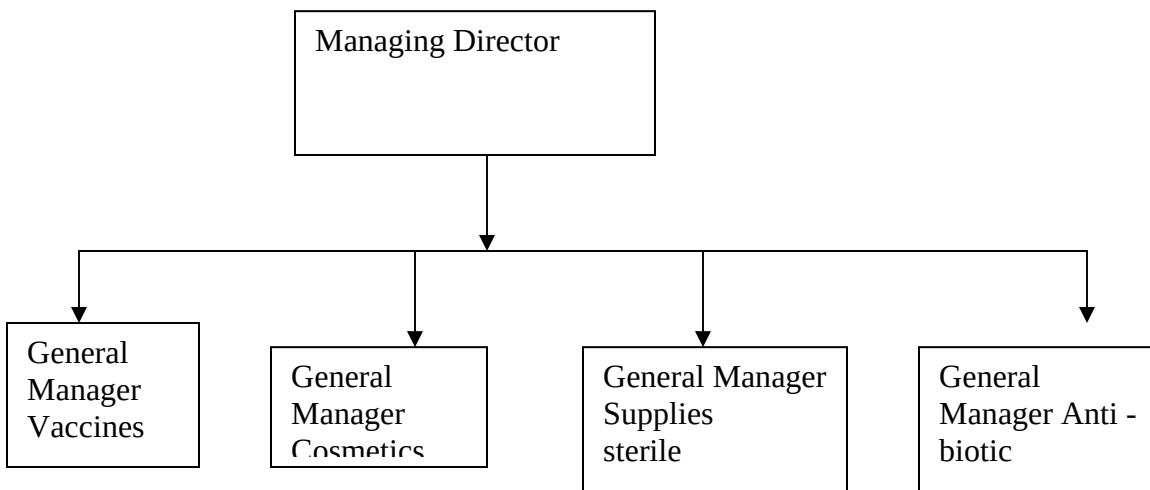


Fig 4.3 Product Based Structure

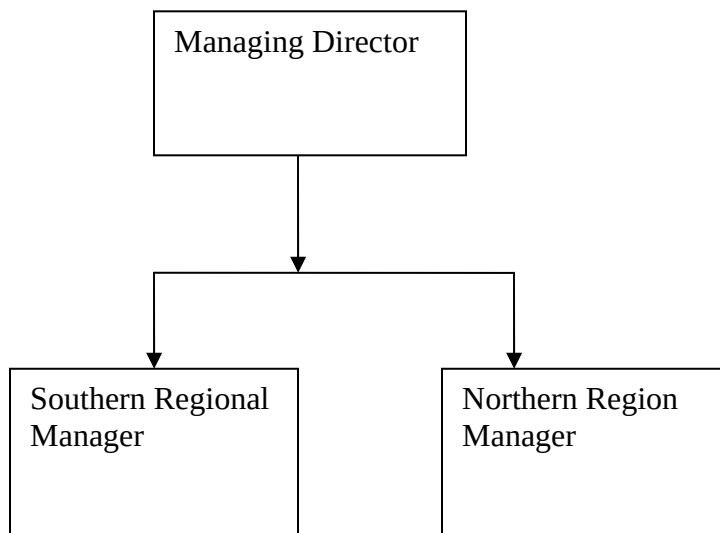


Fig 4.4 Geographical Based

4.3 Centralization and Decentralization.

Decentralization is where ultimately authority to command and ultimately responsibility for results is localized as far down the organization as efficiently permits. If authority is not delegated it is centralized. Centralization refers to withholding of delegated authority. Decentralization is closely related to delegation of authority.

4.4 Degree of delegation

- Cost consideration the more costly the higher up
- Need for uniformity of policy
- Controls available
- Size of an organization
- Availability of capable managers.
- History of organization

4.5 Delegation

The purpose of delegation is to make organization possibly. It is a process whereby an individual or group transfers to some individual or group the duty of carrying at particular actions and at the same time taking some particular decision. It is entrusting some part of the work of management to subordinates. Responsibility is not surrendered. The work is delegated and the superior holds the subordinate accountable. The subordinate is responsible for doing the job; it is the superior's responsibility to see the job is done. When authority is delegated all it means is that someone has been granted permission to do something, the superior must ensure that the subordinate has sufficient authority to do the job and that the subordinate has been told how the authority is to be used. To delegate you assign duties to subordinate, grants them authority and create obligation.

4.6 Reason delegation

- Lack of time
- Complexity of roles
- Need for training management succession.

4.7 Line and Staff Function

Line function contributes directly to the provision of goals and services to the customer. Examples include sales and production. Line is the primary function of the organization. Line functions act.

Staff function contributes indirectly to goods and services by supporting the line. Examples of staff function include human resources, legal accounts, purchasing. Staff functions are the secondary functions of organizations. Staff functions think.

4.8 Function and Relationship

Line authority is exercised by every manager in respect of his/her own subordinate. Line authority is not dependant on line function. It is the chain of command. Specialist managers such as human resource manager exercises authority over their own staff.

Staff authority is better looked at as functional authority. This is exercised by specialist managers and consists of the right to order others including other managers as to what to do and how to do it in relation to agreed aspects of their own particular specialization. For example Finance Manager is responsible for the conduct of the

financial matters and to insist that line managers and others adhere to the company's established financial procedures and policies.

4.9 Coordination

Coordination is the process whereby the effort of a group is synchronized so that the desired goal is attained. Responsibility for coordination rests mainly with Board of Directors and Chief Executive. Coordination problems are essentially those of communication. Coordination exists horizontally and vertically. Horizontal coordination is linking together of managers, units and subunits across the organization for the purpose of common action. Different methods of horizontal coordination are rules, procedures and budgets.

Coordination can be achieved through committees, conferences and staff meetings. One way of achieving coordination is by direct contact between persons concerned.

Organic organisation

A term created by Tom Burns and G.M. Stalker in the late [1950s](#), **organic organisations**, unlike [mechanistic organisations](#) (also coined by Burns and Stalker), are flexible and value outside knowledge.

Also called [Organismic Organisation](#), this form of [organisational structure](#) was widely sought and proposed, but never proved to really exist since it is, adversely to the [Mechanistic organisation](#), it has the least [hierarchy](#) and specialisation of functions. For an [organisation](#) to be [organic](#), people in it should be equally levelled, with no job descriptions or classifications, and communication to have a [hub-network](#)-like form. It is said to be the most adaptive form of organisation.

An Organic Organisation is a fluid and flexible network of multi-talented individuals who perform a variety of tasks

Mechanistic organisation

Mechanistic organisation is a term defined by [T. Burns](#) and [G. M. Stalker](#) to refer to [bureaucratic organisations](#) with stringent rules and rigid [hierarchies](#). The differentiation of tasks, specialisation, departmentalisation, centralisation, standardisation, and formulation are their highest values and so is integration.

Though a practically impossible form of organisation, much of early organisations of the early 19th and late 20th centuries are more mechanistic.

[C. Handy](#) refers to such an organisation as the [Apollo Organisation](#), with its [greek temple](#) figure, whilst the context of his analysis and of that of Burns and Stalker suggest that [Mechanistic](#) and [Apollo Organisations](#) are highly similar, but not necessarily the same.

This definition coincides with [Max Weber](#)'s definition of [Bureaucracy](#) as the rational-legal form of efficient organisation, but organisations nowadays are being moved from this unitary form ([U-Form](#)) to a smaller decentralised unitaries, to form a multi-divisional structure ([M-Form](#)) either through mergers or division. A Mechanistic Organisation is the opposite of an [Organic organisation](#) or [Organismic organisation](#).

Organization Forms and Change
Theory of Mechanistic and Organic Systems
(Burns and Stalker) **Mechanistic and Organic Systems**
Tom Burns and G.M. Stalker (1961)

Through their **Theory of Mechanistic and Organic Systems**, **Tom Burns and G.M. Stalker** have provided a way to understand which **organization forms fit to specific circumstances of change or stability**.

In their highly influential work "The Management of Innovation", they provide the following characteristics of Mechanic vs. Organic Systems:

	Mechanistic Organization Form / Management System	Organic Organization Form / Management System
<i>Appropriate Conditions</i>	Stable	Changing
<i>Distribution of tasks</i>	Specialized differentiation of functional tasks into which the problems and tasks facing a concern as a whole are broken down	Contributive nature of special knowledge and experience to the common task of the concern
<i>Nature of Individual task</i>	The abstract nature of each individual task, which is pursued with techniques and purposes more or less distinct from those of the concern as a whole: i.e., the functionaries tend to pursue the technical improvements of means, rather than the accomplishment of the ends of the concern	The "realistic" nature of the individual task, which is seen as set by the total situation of the concern
<i>Who (re)defines</i>	The reconciliation, for each level in	The adjustment and continual

<i>tasks</i>	the hierarchy, of these distinct performances by the immediate superiors, who are also, in turn, responsible for seeing that each is relevant in his own special part of the main task	redefinition of individual tasks through interaction with others
<i>Task scope</i>	The precise definition of rights and obligations and technical methods attached to each functional role	The shedding of "responsibility" as a limited field of rights, obligations and methods (problems may not be posted upwards, downwards or sideways as being someone else's responsibility)
<i>How is task conformance ensured</i>	The translation of rights and obligations and methods into the responsibilities of a functional position	The spread of commitment to the concern beyond any technical definition
<i>Structure of control, authority and communication</i>	Hierarchic, Contractual	Network, Presumed Community of Interest
<i>Locating of knowledge</i>	Reinforcement of the hierarchic structure by the location of knowledge of actualities exclusively at the top of the hierarchy, where the final reconciliation of distinct tasks and assessment of relevance is made	Omniscience no longer imputed to the head of the concern; knowledge about the technical or commercial nature of the here and now may be located anywhere in the network
<i>Communication between members of concern</i>	Vertical; i.e., between superior and subordinate	Lateral; i.e., between people of different rank, resembling consultation rather than command
<i>Governance for operations and working behavior</i>	Instructions and decisions issued by superiors	Information and advice rather than instructions and decisions
<i>Values</i>	Insistence on loyalty to the concern and obedience to superiors as a condition of membership	Commitment to the concern's task and to the "technological ethos" of material progress and expansion is more highly valued than loyalty and obedience
<i>Prestige</i>	Greater importance and prestige attaching to internal (local) than to general (cosmopolitan) knowledge, experience, and skill	Importance and prestige attach to affiliations and expertise valid in the industrial and technical and commercial milieux external

		to the firm
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TOPIC 2: GROWTH OF THE ORGANISATION

Alliances, mergers and takeover

Strategic alliances are distinguished from joint ventures because the companies involved do not take an equity position in one another. In many cases strategic alliances are partnerships that exist for a defined period during which partners contribute their skills and expertise to a cooperative project.

In other instances strategic alliances are synonymous with licensing agreements. Another licensing strategy is to contract manufacture of product line to a foreign company to exploit local comparative advantage in technology, materials or labour.

Outsourcing is a strategic alliance that enables a firm gain a competitive advantage.

Strategic alliance: it is distinguished from joint ventures because the companies involved do not take an equity position in one another. Strategic alliances are partnership that exists for a defined period during which partners contribute their skills and expertise to a cooperative project. For example one partner provides marketing expertise. In many instances such alliances are undertaken because the partners want to learn from one another with the intention to be able to develop in-house capabilities to supplant the partner when the contractual arrangement between them reaches its termination date. In other instances strategic alliances are synonymous with licensing agreements. Most tend to be patents, trade marks or technological know how that are granted to the licensee for a specified time in return for a royalty and for avoiding tariffs or import quotas. Another licensing strategy is to contract manufacturing of its product line to a foreign company to exploit local comparative advantages in technology.

Service and franchised based firms like Avis, Coca cola, Holiday Inn, Kentucky fried chicken, McDonalds and Pepsi have engaged in licensing arrangements with foreign distributors as a way to enter new markets with standardized products that can benefit from marketing economies.

Outsourcing is a strategic alliance that enables firms to gain a competitive advantage.

Joint venture:

Joint ownership e.g. petroleum cooperative arrangement to provide funds needed to build pipeline. Joint ventures minimize threat of foreign domination. Joint ventures demand managerial attention and other resources that might be directed toward the firm's mainstream activities. Increasing globalization may require greater consideration of the joint venture approach if national firms are to remain viable.

Franchising

Lancaster and Massingham in their third edition Marketing Management Book page 278 define a franchise as a situation where a parent company grants an individual or a relatively small company the right or privilege to do business in a prescribed manner over a certain period of time in a specified place.

Johnson and Scholes in their sixth edition of Exploring Corporate Strategy book page 381 define a franchise as an intermediate arrangement where the franchise holder undertakes certain specific activities such as manufacturing, distribution or selling but the franchisor is responsible for the brand name, marketing and probably training.

Cateora and Ghauri in their European Edition Marketing Management book page 262 define franchising as a rapidly growing form of licensing in which the franchisor provides a standard package of products, systems and management services and the franchisee provides market knowledge, capital and personal involvement in management.

Orville C Walker 'Jr', Harper W Boyd 'Jr' and Jean-Claude Larreche in their book Marketing Strategy Planning and Implementation page 353 say that franchising is similar to but different than licensing, especially in motivation, services rendered and duration. It grants the right to use company's name, trademarks and technology.

Roger Bennett and Jim Blythe in their third edition international marketing book page 205 and 206 describe a franchise as an agreement where a foreign firm adopts the franchisor's entire business format in the local market that is its name, trade marks, business methods, layout of premises to mention a few.

Additionally, the franchisor provides in return for a royalty and lump sum fee a variety of supplementary management services like training, technical advice, stock control systems and financial loans.

Hence the franchisor retains complete control on how the product is marketed but the franchisee carries all the risks of failure.

Advantages of Franchising

- 1- The biggest advantage of franchising appears to be the reduction of the risk you will be taking for your investment.
- 2- International franchising allows companies to expand rapidly from a limited capital base.
- 3- It combines the technical experience of the franchisor with the intimate local knowledge of the franchisee.
- 4- The advantage is that the question of import duties does not arise unless the foreign franchisor supplies input materials.
- 5- The other advantage is that you also usually get better deals on supplies because the franchise company can purchase goods and supplies in bulk for the entire chain and then pass that savings on to you and the other franchise units.
- 6- Indeed the governments of many host countries welcome franchising as it facilitates inward technology transfer, creates local employment and stimulates the development of new small businesses.

7- For the customer, the advantages of a franchise include the comfort of knowing what you are getting. You know that the quality of the product or service at one location will be comparable to that of another location. You know what they have and you already what you like about it.

8- The often instant recognition from customers is also a big plus as customers are dealing with a “known” rather than an “unknown”.

9- Franchises are self-employed and not employees of the parent company and rarely posses rights against a parent organisation in the event of either the entire system or just or just an individual outlet collapsing.

EXAMPLE 1: HOLIDAY INN HOTELS A FRANCHISED FIRM

Holiday Inn is an international chain of hotels of which 9 out of 10 are franchised. International franchising facilitates the establishment of an internationally consistent image and standardisation of services and quality management systems yet allows a centralised reservation system.

The reservation system links by satellite many thousands of terminals in airline reservation offices, travel agents and other travel outlets.

On page 263 of their book, Philips, Doole and Lowe say that franchising is a means of selling products which have a high service element. The legal right to use branding, products and method of operation is transferred to a third party. They go on to say that it is considered to be a relatively less risky start-up method for the franchisee and it also has a number of advantages for the franchisor. McDonald's, Kentucky fried chicken(KFC), Burger king and Heinz are amongst the companies which exploit franchising as a distribution method.

EXAMPLE 2: BUYING A McDONALD'S FRANCHISE

To open a McDonald's restaurant, you need to buy a McDonald's franchise. In order to qualify for a conventional franchise, you have to have to have \$175,000 (not borrowed). Your total costs to open the restaurant, however, will be anywhere from \$430,000 to \$750,000, which goes to paying for the building equipment and other things. Forty percent of this cost has to be from your own (non-borrowed) funds.

You will pay an initial franchise fee of \$45,000 directly to McDonald's and the other costs go to suppliers and this is the only upfront fee you pay to McDonald's. you will then go through a rigorous nine months training period where you will learn about the McDonald's things- which includes things like their standard of quality, service, value, formulas and for menu items their methods of operation and inventory control techniques.

You must agree to operate the restaurant from a single location, usually for twenty years following their guidelines for décor, signage, layout and everything else that makes McDonald's McDonald's.

Once you have completed training and you are ready to go, McDonalds will offer you a location they have already developed. The exterior of the building will be complete but you will have to take care of the interior additions such as kitchen equipment, seating and landscaping. You will get constant support from a McDonald's field consultant, who can advice you on details and will visit regularly.

You will pay McDonald's a monthly fee of four percent (4%) of your sales and either a flat base rent or a percentage rent of at least 8.5 % of your sales. How much money you make depends on many things, including the location and its popularity, the efficiency of your operating costs and your ability to manage and control the business.

Franchise Restrictive Covenants and Trade Secrets

The success of most franchises is based on the operating systems, methods, procedures and products. For this reason, franchisors must protect their proprietary information marks. In order to do this, they establish restrictive covenants for their franchises and these covenants govern the things a franchise can do.

For example one restrictive covenant may state that the franchisee cannot operate another similar business that would compete with the franchised business during the term of the franchise agreement. These are called **in-term non-competition covenants**.

There may also be **post-term non-competition covenants** that prohibit the franchise operating a similar business even after the terms of the franchise have expired .

Each state, has however, its own laws regarding the enforcement of non-competition. Often in-term covenants can be more readily enforced than post-term covenants.

TOPIC 4: FINANCE

Learning Outcome

After reading this chapter the student should be able to:

- Needs for short, medium and long-term finance
- Outline the different sources of finance
- Techniques of investment appraisal.
- Elements of financial management and management accounting.
- Profit and loss account.
- Balance sheets and measures of financial performance.

4.1: The needs for short, medium and long-term finance

In the firm, finance is needed for the smooth running of the business. This is referred to as working capital which is made up of the current assets of the firm minus the current liabilities. The current assets include cash, debtors, money market securities and inventory. Management has to make decisions on the capital structure of the firm. Capital structure is decision making regarding the long-term financing of the firm. The decisions usually involve the extent to which the firm should use common stock, debt, preference stock, or mortgage to finance the operations of business.

4.2: Sources of finance

4.2.1: Short-term finance

There are various types of short-term finance which the firm can use. These include bank overdrafts, acceptance credit, hire purchase, trade credit and factoring. Short-term loans usually have to be paid within a year.

4.2.1.1 Bank overdrafts

For firms that often experience seasonal fluctuations in the demand for their products, bank overdrafts form a very useful source of short-term finance. A bank overdraft is a credit facility through which a commercial bank lends money to an individual or firm whenever these funds are needed, provided that the balance on the overdrawn current account does not at any time exceed an agreed amount. Bank overdrafts are used by firms when they experience temporal financial problems as income flows into the current account, it reduces the amount of overdraft outstanding.

4.2.1.2: Acceptance credit

Acceptance credit is usually provided by merchant banks to assist in financing domestic and foreign transactions. It involves the drawing of a bill on a merchant bank or accepting house under an agreed facility whereby the bank on which the bill is drawn will accept it, after which it can be discounted by any bank and so turned into cash. Other forms of short-term finance include; hire purchase, trade credit and factoring.

4.2.2: Long-term finance

This is the type of capital that the firm can use on a long-term basis. These include ordinary shares to the public, preference shares, long-term loans, mortgage bonds, debentures and leasing.

4.2.2.1: Ordinary shares

A company can raise capital by issuing ordinary shares to the public. A person who buys one or more of the shares issued by the company is known as a shareholder. A shareholder owns part of the company's net assets and earns a return in the form of a dividend at the end of the trading year.

4.2.2.2: Preference shares

Preference or preferred shares carry a fixed rate of dividend and are paid before any dividends are paid on the ordinary shares. Preference shareholders may have a priority claim on the assets of the company in the event of liquidation.

4.2.2.3: Long-term loans

Financial institutions like commercial banks and finance houses lend money to firms. Long-term finance refers to loans that take longer to repay usually over five years.

4.2.2.4: Mortgage bonds

A mortgage bond is a long-term loan secured by a mortgage of land and buildings. The borrower mortgages the property to the lender as security for repayment of the loan.

4.2.2.5: Debentures

A company can issue debentures to the public as a way of raising capital. A debenture is a financial certificate that is issued by a company and pays a specific rate of interest at specified intervals.

4.2.2.6: Leasing

A lease is a contract that transfers the use or occupancy of land, space, structures or equipment in consideration of a payment usually in the form of rent. Leases can be for both long and short-term.

4.3: Techniques of investment appraisal

Investment appraisal is about deciding when to invest and in what. Investment may focus on replacements of assets or the business may decide to expand operations by adding production capacity.

4.3.1: Payback Period

This is used if a firm requires that the funds invested in that project be repaid by the benefits derived from the investment within a given time span.

4.3.2: Net present value (NPV)

This method is used to decide whether an investment should be accepted or rejected based on the income that will be generated. The criteria used with NPV is whether the total the total present value of all future cash inflows will be greater than the initial cost of the investment. If the present value of a series of cash is greater than the initial cost of the investment project, a profit will be realised and the investment should be accepted.

4.3.3: Internal rate of return (IRR)

IRR is that discount rate which would equate all discounted net cash inflows with the initial investment. In other words the NPV is zero. IRR can be said to be the specific discount rate that would make the discounted income or total present value equal to the cost of the project. Therefore, in terms of IRR, a project will be accepted only if the IRR is greater than the cost of capital.

4.3.4: Accounting rate of return (ARR)

It is also known as the average rate of return because of the way it is calculated. ARR equals the average annual after tax profit generated by the investment divided by the average investment. The average investment is calculated by subtracting the salvage value of an asset at the end of its useful life from the initial cost of the investment and then dividing the answer by 2. The average annual profit from investment is calculated by dividing the total profit from the investment by the number of years of the investment's useful life.

4.4: ELEMENTS OF FINANCIAL MANAGEMENT AND MANAGEMENT ACCOUNTING

TOPIC 5: PEOPLE AT WORK

Human Resource Management

Personnel management, in the sense of human resource management, can be said to be part of the role of every person who is responsible for the work of others. However, the HRM approach implies a very broad meaning of 'personnel management' and does not tell us anything about the particular areas of work in which personnel specialists make a distinctive contribution to an organisation. In this lesson the expression 'Personnel management' refers to the duties and activities of personnel specialists.

What then is Personnel Management/Human Resource Management ? (Definition)

Personnel aims to achieve both **efficiency and justice**, neither of which can be pursued successfully without the other. It seeks to bring together and develop in to an effective organisation, the men and women who make up an enterprise enabling each to make his/her own best contribution to the success both as an individual and as a member of a working group. It seeks to provide fair terms and conditions of employment and satisfying work for each employee.

-British Institute of Personnel Management
(Chartered Institute of Personnel and Development)

What then is Human Resource Management/Personnel Management ? (Definition)

It is that specialist function of management which has the prime responsibility for the following:

- * Formulating, proposing and gaining acceptance for the personnel policies and strategies of the organisation,
- * Advising and guiding the organisation's managers on the implementation of personnel policies and strategies
- * Providing personnel services for the organisations to facilitate the recruitment, motivation and development of sufficient and suitable employees at all levels,
- * Advising the organisation's managers of the human consequences of change

The policy-making and strategic responsibilities are carried out by senior Personnel Managers; advisory and guidance responsibilities are carried out both by senior and middle ranking Personnel managers: the provision of personnel services is very much a middle-management responsibility; finally, the management of change is primarily a senior personnel role.

By virtue of their specialist function, all Personnel Managers, regardless of seniority, are able to concentrate exclusively on personnel (HRM) matters, unlike their colleagues in other departments (line or functional) who are only able to give a proportion of their time to such matters. How other managers see their personnel colleagues depends on several factors such as the organisational climate, the managerial styles of the managers concerned and the extent to which the Personnel department is able to be helpful. Personnel Managers sometimes have to tread a delicate path between offering constructive, and sometimes unpopular, advice to their colleagues and appearing to tell them how to handle their own staff. Under modern conditions of employment, the needs and wishes of staff are fairly well protected, and as a result, many issues which formerly, could have been dealt with solely by a manager acting in his own, now have to be tackled jointly with the Personnel department (HRM department).

Personnel policies, like any other corporate policies, are not just the preserve of a particular group of managers. Such policies have to be agreed by the top management team as a whole, and approved by the Board. The role of the senior-personnel staff is to formulate draft personnel policies and to argue the case for their acceptance. In many instances it will be the personnel department which provides the initiative for the introduction of new policies and the revision or rejection of existing policies.

Key areas of personnel policy can include the following:

- * Recruitment and Selection
- * Pay and Benefits (Pensions etc.)
- * Relations with Trade Unions or Staff Associations
- * Career Development
- * Training
- * Safety and Health
- * Employment Legislation etc.

As in other policy areas, personnel policies are guidelines for behaviour stating what the organisation will do, or positively will not do, in relation to its employees and employee affairs:

(1) Examples of personnel policies are as follows:

- * Every job vacancy will be advertised within the organisation before any external advertising takes place,
 - The Company will encourage employees to pursue training and education opportunities, where this might qualify them for promotion or career development moves within the

The Role of Human Resource Management in Organisations

Human Resource Planning

Introduction

Human resource planning (HRP) like any other form of planning is a means to an end. In this case the end is to secure the human resources of the organisation in order to achieve corporate objectives. In organisations that have adopted a corporate planning or strategic approach to HRP an overall assessment will have been made of the current strengths and weaknesses of the employee situation. This assessment will have led, where necessary, to a number of long-term proposals for HRP aimed at securing sufficient numbers and categories of suitable employees to undertake the task of producing the organisation's goods or services to the standards expected by the end-users. Even organisations that rarely plan far ahead usually have to make some assessment of their present employee situation, so as to ensure that an appropriate range of skills is available for all the mainstream activities of the organisation. This lesson assumes that a systematic and planned view of HRP is the norm.

Whatever the nature of the organisation. If it is of a size where changes in the work force will have a significant effect on business results, then it will need some kind of human resource planning activity.

In this lesson human resource planning is defined as:

A rational approach to the effective recruitment, retention and deployment of people within an organisation, including when necessary arrangements for dismissing staff.

HRP is therefore concerned with the flow of people through and sometimes out of the organisation. It is however not a mere numbers game. On the contrary effective HRP is considerably more concerned with the optimum deployment of people's knowledge and skills, ie quality is even more important than quantity.

Before moving on to look at the various stages of HRP it is worth considering the questions which such planning aims to answer. These can be summarised as follows.

- * What kind of people does the organisation require and in what numbers ?
- * Over what time-span are these people required ?
- * How many of them are employed by the organisation currently ?
- How can the organisation meet any shortfall in requirements from internal sources ?
- * How can the organisation meet the shortfall from external sources ?
- What changes are taking place in the external labour market which might affect the supply of human resources ?

Stages in Human Resource Planning

Human Resource Planning

In responding to these questions, HRP is essentially concerned with four major activities:

- (1) Analysing the existing human resource situation
- (2) Forecasting future demands for people
- (3) Assessing the external labour market and forecasting the supply situation
- (4) Establishing and implementing human resource plans

We shall now look at these major activities in more detail.

The Human Resource Planning Process

Human resource planning can only make sense when seen in relation to business objectives. The basic demand for people springs from the organisation's need to supply goods or services to its customers. In this sense, HRP is a resourcing activity. However it is also a fact that these resources in themselves have a vital influence on organisational objectives. For example, a firm may be unable to pursue its expansion plans in a new market because it is unable to find enough suitably trained personnel to carry them through. So information arising from the HRP process produces feedback which may cause other business plans to be cancelled or amended.

Even this simple model of the process indicates the ramifications of human resource planning and emphasizes the qualitative aspects of it. HRP is clearly not just concerned with numbers. Plans for training, redeployment, promotion and productivity, all indicate the importance of getting the right staff in the right jobs as well as in the right numbers.

Above figure shows the flow of people through the organisation and identifies some of the key actions that need to be taken at the operational level. This is the kind of model that almost every organisation can utilize. However, larger or more complex organisations need a more strategic approach at the outset. Such an approach would incorporate the four major activities mentioned earlier in paragraph, but would link them into the overall business planning activity of the organisation. Thus, a more appropriate and comprehensive model for this situation would be as shown in the figure below:

(Please refer the text book for the figure)

Figure B

Stages in Human Resource Planning

(1) Corporate objectives

(2) Demand for Human Resources

In the light of Figure B we can look at the key features of each of the major stages of the HRP cycle,

- Starting with the demand for human resources

This is a more or less continuing demand in any organisation. It has its short-term aspects, ie the clearly - defined requirements for specific skills, or positions which need to be filled in the context of existing plans. This usually means periods of upto about 6-9 months. It also has medium-term (9-18 months) and long-term (18 months - 5 years) aspects, in line with the market and financial targets of the corporate plan. A longer - term view of HRP is essential for ensuring that the organisation is supplied with skills

which take time to be developed. Most professional jobs for example require a training period of three to five years before the trainee can claim even the basic competencies of the profession. If an organisation decides to develop its own staff, it needs to look ahead for at least five years from the time the first recruits are appointed. If the organisation decides it will not train its own specialists but buy them in from the market place, then it has to be reasonably assured of the availability of trained people in the labour force at the time they will be required.

(3) Supply of Labour

This leads us on to the question of the supply of labour which is the next major stage in the cycle of events. Any analysis of the supply of labour must commence with the existing state of the organisations personnel. Answer need to be sought to such questions as :

- * What categories of staff do we have ?
- * What are the numbers in each category ?
- * What about age and sex distribution within the categories ?
- * What skills and qualifications exist ?
- * How many staff are suitable for promotion or redeployment ?
- * How successful are we in recruiting particular categories of staff ?

These are important questions for both immediate and future needs. If, for example, a contraction of the business was planned it might be an advantage to have an ageing work force. Equally if expansion was planned in the same business and ageing work force would be a definite disadvantage and the organisation would need to draw heavy on the national labour market.

- When considering the existing supply of human resources available to the organisation we are not just considering the numbers and categories at a particular point in time. We are also considering (1) the organisation ability to continue to attract suitable recruits into its various operations and (2) the rate at which employees are leaving the organisation. Can the organisation count on filling vacant posts satisfactorily when it goes into the market - place ? Are some posts more difficult to fill than others and can anything be done about this ? What about leavers ? Why are they moving out - retirements ? Seeking better opportunities elsewhere ? Pregnancy ? Dismissal ? Redundancy ?. Some organisations rely on a high fallout rate of employees to enable fresh recruits to be brought in at regular intervals. Other organisations expect a considerable degree of stability among their work force and build this expectation into their planning assumptions.

The analysis of the existing supply of human resources must also take into account the potentialities of existing staff to undertake other roles in the organisation. There are considerable variations in the policies of organisations concerning career development. Some offer no real prospects for increased variety or responsibility at work. Others claim career development as the high-spot of their reputation as employers. Clearly firms that take the latter view can call on far greater internal resources for meeting change than those in the former category. Increasingly nowadays organisations are seeking job flexibility across all job categories - manual, clerical, technical etc. - and are insisting on a multi - skilled work force. This strategy serves the interests of organisations who wish to grow their own flexible work force.

-Future prospects. Having considered its existing supply of human resources, an organisation will know the shortfall in its requirements for the future . If we assume that the organisation cannot meet its future needs internally then it must look to the external labour market. There are a number of important issues here for example :

- * What is the overall employment situation likely to be in the course of the next five years ?
- * How is this situation likely to affect our local labour market ?
- * What competition for personnel is likely ?
- Are there any trends in the educational sector which might affect our recruitment plans ?
- * Are there factors in our corporate plans which might speed up the voluntary leaving rate ?

The answers to these questions will indicate the likely prospects of meeting future personnel needs from external sources. Skilled labour is usually a scarce resource in most advanced industrial nations but the situation has changed with relatively large scale unemployment and even a surplus of some skills. These changes do not happen overnight. Thus firms that are planning ahead for their requirements can offset some of the worst affects of acute shortages or surpluses of labour arising from economic changes over which they have no control. Another example of the need to recruit externally is when changes in technology or production processes bring about changes in the number and types of employees required. Improved technology can lead to redundancies and or more boring jobs for machine operators on the one hand whilst leading to more jobs for skilled maintenance technicians on the other.

(4) Operational plans for meeting HR requirements

Once the organisation has assessed its supply position in relation to its requirements it can then draw up plans to meet these requirements. Since people are probably the most volatile resource available to the organisation the best plans will be those which have the greatest flexibility. Most human resource plans are developed on a rolling five year basis, which means that forecasts for next year and the succeeding years in the cycle are updated every year in the light of this year's out-turn. Detailed plans for securing sufficient and suitable employees for current needs are laid for a one - year period in line with current budgets. Less detailed plans are laid for the five year period, but at least major contingencies are prepared for in line with the organisation's corporate strategy. Whether long or short term, the plans for securing the work force will usually include consideration of the following:

- Recruitment

How do we ensure our anticipated needs for replenishing or adding to our work force ? By increasing traineeships and apprenticeships ? Or by recruiting trained and experienced people ? How much provision should be made for recruiting part-timers and contract staff ? What steps should be taken to promote the organisation in schools, colleges and universities ? What use, if any should we make of recruitment consultants ? What improvements could be made to our selection procedures ?

- Training and Development

What job and professional training should be provided to prepare new and existing staff to fulfil their roles satisfactorily ? Should we concentrate on in company or in service training or should we send people on external courses ? What special programmes need

to be established to deal with retraining or updating ? How can induction procedures be improved ? How best can multi-skilling be encouraged by means of workplace training ?

- Promotion, Redeployment & Career Planning

How can internal procedures be improved so as to facilitate the movement of staff to jobs where they can exercise greater or different responsibilities ? What new succession plans need to be drawn up for key management and supervisory roles ? How well is training linked to career development ? How can job interest/career challenge be maintained in a flatter organisation structure ?

- Pay & Productivity

What steps must be taken to ensure that pay and incentives are sufficient to attract, retain and encourage our work force ? What are the cost limits on pay ? How can we make best use of high-cost groups of key employees ? In what ways can labour costs be paid for out of improved output per employee or other productivity indicators ? How best can pay be related to performance ?

- Retirements & Redundancy

What provision should be made for those reaching retirement age ? What inducements may be needed to be provided to encourage older employees to consider opting for early retirement ? What arrangements should be made for dealing with planned redundancies ? How should retirements and redundancies be phased over the course of the year ? What are the estimated costs of these plans ?

Human Resource Planning

Human resource planning is essentially a corporate activity. It cuts across all the divisional and departmental boundaries of an organisation. It is an activity which claims the attention of all managers . It is not the preserve of any one group of specialist managers (eg. personnel), even though such specialists may well play a key coordinating role in the implementation and review of HR plans,

(5) Review outcomes

So as we turn to the final stage of the HRP cycle - the review - we can see this as a responsibility in which all managers share. Major reviews of progress will usually take place once a year, when revisions may be made to the subsequent years of the five - year planning cycle. There will also be reviews carried out half - yearly, or quarterly by the specialist coordinators in the organisation. The principle vehicle of the monitoring process will be budget statements, probably expressed in terms of head counts or wage and salary costs.

Need for human resource planning at all levels

Human resource planning review activities are important for generating feedback information. This information tells the organisation not only how well it is achieving its HR plans but also points the way to necessary changes that must be made at one or more points in the cycle. Some changes need only be made at the tactical level, ie: to amend next years operational plans. Others may have to be made at the highest strategic level ie: where plans for 5, or even 10, years ahead must be amended. Thus, the cycle of events depicted in Figure B comes full circle.

RECRUITMENT AND SELECTION

Very soon you all would be approaching different organisations looking for job opportunities. Hence, it is of utmost importance for all of you to know on what criteria do the companies select its human resource.

Recruitment is one of the most visible roles undertaken by human resource departments in organisations. Recruitment can be considered as part of a trio, 'recruit, reward and retain'. Recruitment is a process of generating a 'pool' of candidates by reaching the 'right' audience suitable to fill the vacancy. Selection involves 'picking' the most suitable candidate from the 'pool' that is willing to fill the vacancy

“The human resources are the most important assets of an organization. The success or failure of an organization is largely dependent on the caliber of the people working therein. Without positive and creative contributions from people, organizations cannot progress and prosper.

In order to achieve the goals or the activities of an organization, therefore, we need to recruit people with requisite skills, qualifications and experience. While doing so, we have to keep the present as well as the future requirements of the organization in mind.”

Definition

Recruitment is a 'linking function' - joining together those with jobs to fill and those seeking jobs. It is a 'joining process' in that it tries to bring together job seekers and employer with a view to encourage the former to apply for a job with the latter.

The basic purpose of recruiting is to develop a group of potentially qualified people. To this end, the organization must communicate the position in such a way that job seekers respond. To be cost effective, the recruitment process should attract qualified applicants and provide enough information for unqualified persons to self-select themselves out.

Recruitment involves searching for and obtaining potential job candidates in sufficient numbers and quality so that the organisation can select the most appropriate people to fill its job needs. (Dowling and Schuler, 1990)

The aims of recruitment

The overall aim is “to obtain at minimum cost the number and quality of employees required to satisfy the human resource needs of the company”. (Armstrong, 2001:385)

Understand that an organization with jobs waiting to be filled, HRM personnel need to (1) find candidates for those jobs and (2) match the right candidate with each job.

It is important for us to understand that Recruiting is the process of attracting qualified job applicants.

- o One goal of recruiting is to attract the "right" number of applicants.
- o Recruiters may seek applicants outside the firm, within the firm, or both.

Hence it is important for the recruiting firm to understand the job that needs filling?

- ⌚ How has the job changed since it was last filled?
- ⌚ Do we still need the job to be done?
- ⌚ What does the job now involve?
- ⌚ Does it need to be done in the same way as before?
- ⌚ Is there a Job Description?

It is also important for the firm to know what sort of person do they need

a) To fit the job

- Is it a lonely job?
- Does it require unsocial hours working?
- Does it need a team person?

b) To fit the organization

- What do we believe in?
- Obedience to the boss - or Independence?
- Competition - or Co-operation?
- Customer First - or - Organization First?

c) Do we want help to change?

Constraints

If a firm has a poor image in the market, many of the prospective candidates may not even apply for vacancies advertised by the firm. If the job is not attractive, qualified people may not even apply. Any job that is viewed as boring, hazardous, anxiety producing, low paying, or lacking in promotion potential seldom will attract a qualified pool of applicants.

Recruiting efforts require money. Sometimes because of limited resources, organizations may not like to carry on the recruiting efforts for long periods of time, this can, ultimately, constrain a recruiter's effort to attract the best person for the job.

Governmental policies often come in the way of recruiting people as per the rules of the company or on the basis of merit/ seniority, etc. For example, reservations to special groups (such as scheduled castes, scheduled tribes, backward castes, physically handicapped and disabled persons, ex-servicemen, etc.) have to be observed as per Constitutional provisions while filling up vacancies in government corporations, departmental undertakings, local bodies, quasi-government organizations, etc.

1.1- The Legal Environment, Legislation and Requirements Regarding Recruitment

The different legislative policies governing child labor, night shift work, bonded labor, contract, labor, reservation, 'sons of the soil' have brought the legal environment to be a major item to be looked into carefully by all companies intending to recruit people for various positions. Let us examine the issues more elaborately:

The Factories Act, 1948: The Act prohibits the employment of women (night work, underground work, carrying heavy loads, etc.) and child labor (below 14 years of age) in certain jobs.

The Apprentices Act, 1961: The Act provides for a machinery to lay down syllabi and specify period of training, mutual obligations of apprentices and employees, etc. The responsibility for engagement of apprentice lies solely with the employer. The apprentice, after serving a contractual term of training, can be taken on regular rolls. The Act, as amended in 1986, provides for revised rates of compensation during the apprenticeship period and for failure on the part of the employer to execute the terms of the contract.

The Employment Exchanges Act, 1959: The Act requires all employers to notify the vacancies arising in their establishments to prescribed employment exchange before they are filled. The Act covers all establishments in Public Sector and nonagricultural establishments employing 25 or more workers in the private sector.

The Contract Labor Act, 1970: The Act is applicable to every establishment (contractor) employing 20 or more persons. It tries to regulate the employment conditions of contract labor in certain establishments and also provides for the abolition of contract labor in certain circumstances.

Bonded Labor System (Abolition) Act, 1976: The Act provides for the abolition of bonded labor (system of forced labor to liquidate debts payable to parties who are bent on exploiting the vulnerability of the victim) or his family members.

The Child Labor Act, 1986: The Act prohibits the employment of children below 14 years of age in certain employments. This has become a serious issue in India recently when German firms refused to accept carpets exported from Uttar Pradesh, objecting to the employment of child labor in the carpet industry.

Recruitment Policies and Procedures

One of the first steps in planning for the recruitment of employees into the organization is to establish proper policies and procedures. A recruitment policy indicates the organizations' code of conduct in this area of activity. A typical policy statement for recruitment may run thus.

Recruitment Policy Statement

In its recruitment activities, the company will:

- Advertise all vacancies internally,
- Reply to every job applicant without any delay,
- Inform job applicants the basic details and job conditions of every job advertised,
- Process all applications with efficiency and courtesy,
- Seek candidates on the basis of their qualifications,
- Aim to ensure that every person invited for interview will be given a fair and thorough hearing
- The company will not: Discriminate unfairly against potential applicants on the basis of sex, race, religion, caste, etc.;
- Knowingly make any false or exaggerated claims in its recruitment literature or job advertisements.

Once the recruitment policy is made explicit, the company can evolve a detailed procedure to make the whole exercise systematic. Such a systematic approach will enable people within (or outside) the organization to follow a predictable path. The recruitment procedures should, however, be flexible enough to permit personnel department to respond quickly to demands made on them by various departments and by potential candidates.

Recruitment, it should be remembered, as a marketing activity as well as a public relations exercise. When recruiting people, organizations are going out into their external environment and competing with others for suitable candidates. Such activities_ therefore, should be conducted in a manner that sustains or enhances the prestige and public image of the organization concerned. Fair and objective recruitment policies and standards would add to the image of the organization in the long run. One way in which managers engaged in recruiting people can follow a systematic approach is to adopt a checklist such as the one given below:

Questions to be addressed while Hiring People

- Has the vacancy been agreed by a responsible manager?
- Is there on up-to-date job description for the vacancy?
- What are the conditions of employment for the vacancy (salary, hours of work, fringe benefits, perquisites, holidays, etc.)?
- Has a personnel specification/candidates profile (in terms of physique, intelligence, aptitude, qualifications experience, etc.) been prepared?

- Has a notice of the vacancy been circulated internally?
- Has a job advertisement been agreed? Have details of the vacancy been forwarded to relevant agencies?
- Do all potential candidates (internal or external) know where to apply and in what form?
- What are the arrangements for drawing up a shortlist of candidates?
- What about the interviewing dates and arrangements for selection of candidates?
- Have the short listed candidates or waitlisted candidates been informed sufficiently in advance and asked to furnish detailed references?

Situation Audit For Recruitment

We must remember that recruitment provides employees, the most productive of all resources, to an organization. This has two important aspects: the first is to find out the number of vacancies to be notified and the type of applicants needed to fill them; the second is to appeal to potential applicants through novel advertising, to apply for such vacancies.

Both the steps are, thus, closely related to the environment (economic, social, technological and political) in which the company operates. No organization is likely to recruit successfully without taking care of these aspects.

The Economic Environment

Economic conditions quietly influence the recruitment process in all organizations. The sudden boom in the financial services sector in India, especially from 1991 onwards, has contributed to the growing demand for MBA/CA/CFA/CWA students. The demand for engineers, especially in the manufacturing sector, has not kept pace and most engineers had to make a beeline for finance/marketing degrees or diploma to encash the job opportunities.

Companies had to resort to extensive advertising (newspaper ads, media ads, campus recruitment, search firms, employee referrals, contractors, etc.) for hiring people with specific fund-management skills in a big way. However, by the late 90s the rules of the game have changed completely. Recession in almost all sectors - barring software and pharmaceutical sectors - has forced companies to cut down their recruitment costs drastically, by resorting to less expensive media advertising only.

The Social Environment

Major social changes in the past two decades have caused organizations to place increased emphasis on recruitment. Modern employees look for a satisfying career in place of 'just a job'. If the opportunities for career growth are missing in an organization, they do not hesitate to leave and go in search of greener pastures outside.

To ward off such threats, companies nowadays emphasize opportunities for training and development and progression through a series of jobs within the same organization. They also try to present a more realistic picture of the job and the encouraging career openings to prospective employees through innovative recruitment campaigns. If the organization is not aware of and is insensitive to prevailing social values and norms, the recruitment efforts could go off the track.

The Technological Environment

New technologies create new jobs. The existing jobs undergo a rapid change. As a result, applicants with unusual combination of skills and knowledge must be found. The Liberalization Programme after 1991 brought about rapid changes in the fields of banking, electronics, telecommunications, automobiles, software and pharma industries, etc. Several old jobs have disappeared almost suddenly.

At the same time, there is a chronic shortage of people with requisite skills and knowledge especially in the fields of software, telecommunication, insurance, etc. In such a scenario companies have to step up their recruitment efforts to compete successfully for a small number of suitable candidates.

The Political Environment

In the late 80s "equal employment opportunity" has become a major slogan in corporate circles. Companies have realized that employment need must be defined in terms of ability to perform the job, not in terms of race, color, religion, sex or national origin. Phrases such as "only men need apply"; and "age 25-35 group preferred" no longer appeared in advertisement for job vacancies. Organizations have taken a number of steps to find and attract women and minority applicants (e.g. advertisements in related journals; sending recumbent teams to women's college; college run by minority group, etc.).

Political compulsions, constitutional provisions covering reservations for special groups, providing employment to "sons of the soil" especially in states like Andhra Pradesh, Tamilnadu, Arunachal Pradesh; offering jobs to displaced persons whose lands have been acquired in order to set up projects of national importance - also come in the way of recruiting people, based solely on qualifications, skills and experience. Factors such as influence of unions, recommendations of friends and relatives of management also play an important role in influencing recruitment policies followed by a firm.

Situational Factors in Recruitment

An overview of situational factors in recruitment

Situational factor

Important issues

Economic environment

- Demand and supply for skills
- Sudden boom in specific sectors

Social environment

- Opportunities for growth

Monetary compensation Image of the firm

Technological environment

- New technologies; new jobs
- Fight for rare skills
- Equal employment opportunity
- Reservations for special groups

Political environment

- "Sons of the soil" policies
- Displaced persons
- Power of unions
- Recommendations

Legal environment

- Recruitment through employment exchanges
- Obligations toward apprentices and contract labor
- Factories Act and Child Labor Act, Bonded Labor

1.2- INTERNAL AND EXTERNAL RECRUITMENT PROCESSES

Internal Recruitment

When recruiting is internal, managers turn to existing employees to fill vacancies. Employees recruited internally are either seeking lateral lateral moves (job changes that entails no major changes in responsibility or authority levels) or promotions.

Internal recruiting has several advantages. Firstly, internal applicants are already familiar with the organisation including its goals, structure, culture, rules and norms).

Secondly, managers already know candidates as they have considerable information about their skills and abilities and actual behaviour on the job.

Thirdly, internal recruitment can also boost the level of employee motivation and morale, both for the employee who gets the job and for other workers. Finally internal recruitment is less time consuming and inexpensive.

External Recruitment

When managers recruit externally to fill vacancies, they look outside the organization for people who have not worked for the organization previously. There are multiple means through which managers can recruit externally. Managers can recruit through adverts in papers, magazines, open houses for students, TV, Radio and so on.

External recruitment has the advantage of tapping from a very large pool of applicants who may have the skills the organization needs. The disadvantage is of course the uncertainty as to whether the externally recruited person will a good perform or not. (G. R Jones & J M George 2003 P 374.)

Alternatives to Recruitment

Since recruitment and selection costs are high (search process, interviewing, agency fee, etc.) firms these days are trying to look at alternatives to recruitment, especially when market demand for firm's products and services is sluggish. Moreover, once employees are placed on the payroll, it may be extremely difficult to remove them if their performance is marginal. Some of the options in this regard may be listed thus:

Alternatives to Recruitment

Overtime: Short-term fluctuations in work volume could best be solved through overtime. The employer benefits because the costs of recruitment, selection and training could be avoided. The employee benefits in the form of higher pay. However, an overworked employee may prove to be less productive and turn out less than optimal performance. Employees may slow down their pace of work during normal working hours in order to earn overtime daily. In course of time overtime payments become quite routine and for any reason these payments do not accrue regularly, employees become resentful and disgruntled.

Subcontracting: To meet a sudden increase in demand for its products and services, sometimes, the firm may go for subcontracting - instead of expanding capacities immediately. Expansion becomes a reality only when the firm experiences increased demand for its products for a specified period of time. Meanwhile, the firm can meet increased demand by allowing an outside specialist agency to undertake part of the work to mutual advantage.

Temporary employees: Employees hired for a limited time to perform a specific job are called temporary employees. They are particularly useful in meeting short term human resource needs.

A short-term increase in demand could be met by hiring temporary hands from agencies specializing in providing such services. It's a big business idea in United States these days (\$3-\$4 billion industry). In this case the firm can avoid the expenses of recruitment and the painful effects of absenteeism, labor turnover, etc.

It can also avoid fringe benefits associated with regular employment. However, temporary workers do not remain loyal to the company; they may take more time to adjust and their inexperience may come in the way of maintaining high quality.

Employee leasing: Hiring permanent employees of another company who possess certain specialized skills on lease basis to meet short-term requirements - although not popular in India- is another recruiting practice followed by firms in developed countries. In this case individuals work for the leasing firm as per the leasing agreement/arrangement. Such an arrangement is beneficial to small firms because it avoids expense and problems of personnel administration.

Evaluation of Alternative Sources

Companies have to evaluate the sources of recruiting carefully -looking at cost, time, flexibility, quality and other criteria - before earmarking funds for the recruitment process. They cannot afford to fill all their vacancies through a particular source. To facilitate the decision making process in this regard, companies rely on the following:

Time-lapse data: They show the time lag between the dates of requisition for manpower supply from a department to the actual date of filling the vacancies in that department. For example, a company's past experience may indicate that the average number of days from application to interview is 10, from interview to offer is 7, from offer to acceptance is 10 and from acceptance to report for work is 15.

Therefore, if the company starts the recruitment and selection process now, it would require 42 days before the new employee joins its ranks. Armed with this information, the length of the time needed for alternative sources of recruitment can be ascertained - before pinning hopes on a particular source that meets the recruitment objectives of the company.

Yield ratios: These ratios indicate the number of leads/ contacts needed to generate a given number of hires at a point at time. For example, if a company needs 10 management trainees in the next six months, it has to monitor past yield ratios in order to find out the number of candidates to be contacted for this purpose. On the basis of past

experience, to continue the same example, the company finds that to hire 10 trainees, it has to extend 20 offers.

If the interview-to-offer ratio is 3:2, then 30 interviews must be conducted. If the invitees to interview ratio is 4:3 then, as many as 40 candidates must be invited. Lastly, if contacts or leads needed to identify suitable trainees to invite are in 5:1 ratio, then 200 contacts are made. Based on this information, the company can construct the recruiting yield ratio, as shown below:

Offer ratio 1:2 Trainers needed offers made

Invitees to interview ratio 4:3 Candidates invited

Leads to invitees ratio 5: 1 Candidates contacted

Surveys and studies: Surveys may also be conducted to find out the suitability of a particular source for certain positions. For example, as pointed out previously, employee referral has emerged as a popular way of hiring people in the Information Technology industry in recent times in India. Correlation studies could also be carried out to find out the relationship between different sources of recruitment and factors of success on the job. In addition to these, data on employee turnover, grievances, and disciplinary action would also throw light on the relative strengths of a particular source of recruitment for different organizational positions. Before finally identifying the sources of recruitment, the human resource managers must also look into the cost of hiring a candidate. The cost per hire can be found out by dividing the recruitment cost by the number of candidates hired.

Article

Online job-hunting

April 8 2003 - a study of more than 363,000 unemployed workers worldwide by career transition firm DBM reveals that Canadian Internet surfers were four times more successful in finding new jobs than the global average in 2002.

In fact 12% of the 7400 unemployed Canadians studied found new jobs last year through various Internet-based resources. This compares with 3% worldwide and 6% for US respondents. Nevertheless, personal networking is still the best method to find new employment.

The study found that worldwide 42% of people found new jobs by networking and the proportions were higher in

USA (61%) and Canada (68%).

The relative importance of online recruiting methods in Canada probably reflects the high level of Internet penetration across the country. New York-based e-Marketer, a leading source of data about internet, e-business and emerging technologies, says there were 14.9 million internet users in Canada in 2002 compared to 152.8 million in the United States. This number is expected to grow to 21.4 million users in Canada by the end of 2004 compared to 174.9 million users in the United States. An e-Marketer report titled North America Online: Demographics and Usage, released in February 2003, estimates 7.2 million online households in Canada in 2002 - approximately 60% of all households in the country. Over 63% of households in Alberta, British Columbia and Ontario have online access according to e Marketer.

Another survey by COMPAS Inc. found that 47% of Canadian business executives said they used online tools such as company web sites or internet-based recruiting firms to fill employment vacancies last year. Monster.ca, workopolis.ca, hotjobs.ca and careerclick.com were among the best-known online recruiting services in Canada.

DBM's career transition consultants advise their clients to send both printed and e-mail resumes when searching for new employment. They say job candidates should send their resume electronically with an e-cover note and then follow-up with a printed letter and resume.

"Many people think that electronic and printed resumes are different. They should not be. You are merely altering the presentation format of a printed resume for the Internet," says Judith Gelber, Vice-President/Managing Consultant, DBM. "A well-written, well-prepared resume will contain all of the necessary keywords to attract attention whether it is being read by a hiring manager, scanned or searched in a management system or indexed in an Internet site."

Gelber also has some tips for people applying for work over the Internet:

* **Just the facts** Be true to your record. You will find more opportunities more closely suited to your background and goals.

***Talk the talk** The correct use of industry or professional terminology will instantly allow the potential employer to understand your background and determine a possible fit quickly and efficiently.

***Timing is everything** Most large job posting sites list resumes chronologically and recruiters often look at the most current postings. It's a good idea to re-post your resume weekly.

* **Pick and choose** Be selective about the sites to which you post your resume. Recruiters will not take you seriously if they discover you are indiscriminate about the position you are seeking.

* **Highlight key points** For online resumes use asterisks ((*)) or plus signs (+) at the beginning of lines instead of bullets at the beginning of lines Use a series of dashes to separate sections Consider using capital letters or

asterisks to surround key text instead of using bold face.

*** Going public**

Once posted, consider your resume a public document and out of your control. Consider renting a post office box and using a specific voice mail account for your search instead of including your home address and phone number on your resume.

*** Update or outdate** Some Internet services will allow you to post your resume without cost, but will charge for updates. Look for Internet services that allow an unlimited number of updates.

Job Analysis, Job Description, Job Specifications and Job Evaluation

(1) Job Analysis

Most basic HR activity. Job Analysis is a systematic investigation of the tasks, duties and responsibilities required in a job and the necessary skills, knowledge and abilities someone needs to perform the job adequately. So Job Analysis will result in Job Description and Job Specification.

How to do a Job Analysis ?

(1) Find out information about the job

- By observation: HR line managers go and observe, What is done. How it is done & Who does it.
- By work sampling: You take a sample of people in the organisation (not all)

- By interviewing: Two parties are there

- Employees who do the job. (think about their personal needs)

- Supervisions who supervise the job (think about organisation needs)

Above three methods are time consuming and expensive.

- By questionnaires: Ask questions from employees but put probable answers too.

- Use of Jury experts: These are people who were supervisors earlier but now top managers.

- By self report diaries: ex: 8.30am-9.00am what you did ?

- Use of videos ex: CCTV

(2) Find out characteristics of the job

(3) Find out work activities performed ex: Cleaning, selling, teaching, painting etc.

(4) Find out about performance expected

(5) Find out about human behaviours required ex: Communication, sensing, decision making

(6) Find out machines and equipment used

- (7) Find out working conditions ex: Physical working conditions
- (8) Find out personnel requirements ex: Helmets, Goggles etc.
- (9) Find out about required amount of interaction with others
- (10) Find out supervision to be given and received
 - Supervision given by: Higher jobs
 - Supervision received by: Lower jobs
 - No supervision needed for highly responsible jobs ex: craftsmen
- (11) Identify job factors

<u>Skill</u>	<u>Effort</u>	<u>Responsibility</u>	<u>Job conditions</u>
(i) Job knowledge (i) Working conditions	(i) Physical demand	(i) Equipment	
(ii) Experience hazards faced	(ii) Mental or visual demand (ex: Welder)	(ii) Material or products	(ii) Any
(iii) Initiative noise		(iii) Safety of others	ex: poison,
(iv) Ingenuity		(iv) Work of others	

-In foreign countries blue collar worker are paid more than white because of above.

(2) Job Description

Now it will result in Job Description. Job Description is a list of a job's duties, responsibilities, reporting relationships, working conditions, and supervisory responsibilities-one product of a job analysis.

Components or contents of job description

- (1) Job identification or organisational position
- (2) Job summary
- (3) Job duties and responsibilities
- (4) Relation to other jobs (Interactions with in organisation)
- (5) Amount of supervision
- (5) Machines, tools, equipment
- (6) Working conditions ex: Hazards

(3) Job duties and responsibilities:

- (1) Use clear concise statements telling what the duty is how it is performed and why it is performed
- (2) Arrange duties and responsibilities sequentially
- (3) State each duty and responsibility concisely and separately.
- (4) Begin the statement with action verbs
- (5) Use quantitative terms where possible
- (6) Avoid generalisations
- (7) Use quantitative terms to indicate frequency or degree of duties performed.
ex: Job duty: Lubricate engine after 7 days of use.
- (8) Omit minor duties or occasional tasks common to all jobs
- (9) Uniformity of style (not changing)
- (10) Use present tense

Example of writing a Job duty/responsibility:

Allow only the authorised operators to log into the mainframe computer by checking their identity to prevent the unauthorized users that will jam the system.

Uses of job description

- (1) Preliminary drafts can be used as a basis for productive group discussion, particularly if the process starts at the executive level.
- (2) It aids in the development of Job Specifications which are useful in planning, recruitment, in training and hiring people with required skills.
- (3) It can be used to orient new employees toward basic responsibilities and duties
- (4) It is a basic document used in developing performance standards.
- (5) It can be used for job evaluation, and it is a wage and salary administration technique.

(3) Job Specifications/Person Specifications

It describes the key qualifications someone need to perform the job satisfactorily. Specific factors are:

(1) Skills, (2) Knowledge and (3) Abilities (SKA's-Skills, Knowledge and Abilities). It is a list of a job's 'human requirements,' that is, the requisite education, skills, personality, and so on.

- (i) Education, experience required
 - (ii) Personal requirements ex: Car licence
 - (iv) Work skill requirements
 - (v) Working conditions and hazards
 - (vi) Mental and physical requirements
- ex: Age, Ability to handle pressure

(4) Job Evaluation

Job evaluation it is the systematic determination of the relative worth of jobs within an organisation. Or Job evaluation is the name given to a set methods designed to compare jobs systematically with a view to assessing their relative worth. When doing a job evaluation the job description of every job in an organisation is examined by company. It looks in to :

- (1) Relative importance of the job.
- (2) Relative skills needed to perform the job.
- (3) Difficulty of one job compared to other job.

Job Evaluation Methods (Commonly used)

- (1) Market pricing method

ex: If one company pays a salary of Rs.10,000/= our company too should pay a salary of Rs. 10,000/=.

- (2) Classification method of evaluation

Putting job in to different classes. Each class has a different grade. This is particularly done in large organisations. ex: Class 1 - Grade A

(2) Point rating method

- Specially used in job evaluation in USA to handle hazards/difficulties of jobs.
- There is a point system.
- Points are given for special acts as indicated in the manual book.
- Accord to points you pay salary.

1.3- SELECTION METHODS AND PROCEDURES

Contents:

- o **Definition**
- o **The aims of selection process**
- o **Types of selection device**
- o **Selection process**

We all want to avoid rejection, so why not familiarize ourselves with the process of Selection. It involves predicting which candidates will make the most appropriate contribution to the organisation - now and in the future.

Selection is the process of gathering information about applicants for a position and then using that information to choose the most appropriate applicant.

Stone has provided a more formal definition of selection as follows:

"Selection is the process of differentiating between applicants in order to identify (and hire) those with a greater likelihood of success in a job".

Selection process assumes and rightly so, that there are more number of candidates available than the number of candidates actually selected. These candidates are made available through recruitment process.

Aims of the selection process

- o Gather as much relevant information as possible
- o Organise and evaluate the information
- o Assess each candidate in order to:
 - Forecast performance on the job, and
 - Give information to applicants, so that
 - They can judge whether or not they wish to accept an offer of employment.

So now we can say that selection is about collecting evidence to enable you to make an accurate judgment about a candidate's strengths and weaknesses in relation to the job.

1.3.1 Types Of Selection Devices

Managers can use a number of selection devices to reduce accept and reject errors. The best-known devices include an analysis of the applicant's completed application form, written and performance-simulation tests, interviews, background investigations, and in some cases, a physical examination. Let's briefly review each of devices. Following chart lists the strengths and weaknesses of each.

(a)- The Application Form

Strengths:

- Relevant biographical data and facts that can be verified have been shown to be valid performance measures for some jobs.
- When items on the form have been weighted to reflect job relatedness, this device has proved to be a valid predictor for diverse groups.

Weaknesses:

- Usually only a couple of items on the form prove to be valid predictors of job performance and then only for a specific job.
- Weighted-item applications are difficult and expensive to create and maintain.

(b)- Written Tests

Strengths:

- Tests of intellectual ability, spatial and mechanical ability, perceptual accuracy, and motor ability are moderately valid predictors for many semiskilled and unskilled lower-level jobs in industrial organizations.
- Intelligence tests are reasonably good predictors for supervisory positions.

Weaknesses:

- Intelligence and other tested characteristics can be somewhat removed from actual job performance, thus reducing their validity.

©- Performance-Simulation Tests

Strengths:

- Based on job analysis data and easily meet the requirement of job relatedness
- Have proven to be valid predictors of job performance.

Weaknesses:

- Expensive to create and administer.

(d)- The Interview

Strengths:

- Must be structured and well organized to be effective predictors.
- Interviewers must use common questioning to be effective predictors.

Weaknesses:

- .
- Interviewers must be aware of legality of certain questions.
- Subject to potential biases, especially if interviews are not well structured and standardized.

(e)- Background Investigations

Strengths:

- . Verifications of background data are valuable sources of information.

Weaknesses:

- Reference checks are essentially worthless as a selection tool.

(f)- Physical Examination

Strengths:

- Has some validity for jobs with certain physical requirements.
- Done primarily for insurance purposes.

Weaknesses:

- Must be sure that physical requirements are job related and do not discriminate.

1.3.2 The Selection Process

Let us all go through the process of selection that involves a number of steps. The basic idea is to collect maximum possible information about the candidates to ascertain their suitability for employment. Below is a discussion of the various steps:

Screening of Applications

Prospective employees have to fill up some sort of application form. These forms have a variety of information about the applicants like their bio-data, achievements, experience, etc.

Selection Tests

Many organizations hold different kinds of selection tests to know more about the candidates or to reject the candidates who cannot be called for interview, etc. Selection tests normally supplement the information provided in application forms. Such forms may contain factual information about candidates. Selection tests may give information about their aptitude, interest, personality etc, which cannot be known by application forms.

Types of Tests

- (i)- *Achievement Test*: It is also called performance test or trade test. Achievement is concerned with what one has accomplished. When candidates claim that they have done certain things and know these, the achievement test may be conducted to measure how well the candidates know these. A candidate's knowledge may be measured through his answers to certain questions or his performance at a practical test. For example, a typing test may measure the typing performance of a typist in terms of speed, accuracy and efficiency. Performance test may be administered for selecting employees at operative level as well as junior management level.
- (ii)- *Intelligence Test*: Intelligence test tries to measure the level of intelligence of a candidate. This test generally includes verbal comprehension, word fluency, memory, inductive, reasoning, number facility, speed of perception, spatial, visualization, etc. The scores on the test are usually expressed numerically as Intelligence Quotient (IQ), which can be calculated as follows

$$IQ = \frac{\text{Mental age} \times 100}{\text{Actual age}}$$

It means that the IQ is derived by converting actual age into mental age and multiplying it by 100 in order to facilitate comparison. Higher is the figure; higher is the level of intelligence. Intelligence test is designed on the basis of age groups. Thus, each age group may have different intelligence tests. The basic idea behind intelligence test is that if the organization is able to get people with higher intelligence, its training and learning process will be easier because intelligent employees learn faster than dull employees.

- (iii)- *Personality Test*: The personality test is administered to predict performance success for jobs that require dealing with people, or jobs that are essentially supervisory or managerial in character. Dimensions of personality such as interpersonal competence, dominance-submission, extroversion-introversion, self-confidence, leadership ability, patience, and ambition can be measured

through personality tests. Personality test is essentially a projective test because it projects the personality of the individual who may be employed by the organization. Among the most widely used personality test is Thematic Apperception Test (TAT) and its more improved version Thematic Evaluation of Management Potential (TEMP).

(iv)- *Aptitude test* is used for measuring human performance characteristics related to the possible development of proficiency on specific jobs. These basic characteristics can be thought of as aptitudes. As such, aptitude test measures the latent or potential characteristics to do something provided proper environment and training are provided to the individuals. This test is more valid when the applicants have no experience or very little experience along the lines of the jobs. Specific tests have been developed for jobs that require clerical, mechanical, spatial relationships, and manual dexterity, abilities and skills. However, aptitude test does not measure motivation. Since on-the-job motivation is found to be more important than aptitude for the job, aptitude test is supplemented by interest tests.

(v)- *Interest Test*: Interest test is designed to discover a person's area of interest, and to identify the kind of jobs that will satisfy him. It is assumed that a person who is interested in a job can do much better than the person who is not interested. Interest test generally measures interest in outdoor activities, mechanical, computational, scientific, persuasive, artistic, literary, musical, clerical, social services, etc.

The above discussion shows that different tests are used for different purposes. Each of them has the usefulness and limitations in specified areas. Therefore, a combination of tests should be used for selection purpose. Moreover, these tests should be related with the nature of posts to be filled up.

Advantages of Selection Tests

Various steps of selection process including selection tests are meant to solicit information about the candidates so as to arrive at a decision to select the most

desirable candidates out of the several available. Since only some information is available from other sources like application forms, references, etc., selection tests are used to solicit more information about the candidates. Therefore, the use of selection tests has many advantages:

- Selection tests are standardized and unbiased methods of soliciting information about the prospective employees. Thus, a person who does not get selected on the basis of selection tests cannot argue for the partiality in selection process. It is to be noted that in many organizations, impartiality in selection process is of prime importance like public sector organizations.

- Selection tests can be used to weed out the large number of candidates who may not be considered for employment in the organization. Normally, organizations receive applications from large number of candidates seeking jobs in the

organization. They all meet the basic requirements of the jobs, but all cannot be called for interview because it is a very time-consuming process. Selection tests will provide the cut-off point above which candidates can be called for interview. Thus, the tests will save lot of time and money.

- The tests are able to uncover the qualities and potentials of prospective employees, which cannot be known by other methods including personal interview. Since the people are taken in the organization not only for the present jobs but they are promoted over the period of time, tests provide good opportunities to test their potentials for such promotions also. Thus, tests are more reliable source for predicting the overall suitability of candidates for the employment.

Limitations of Selection Tests

- Selection tests may provide useful information but they suffer from some limitations also. Two such limitations are quite important which suggest that use of tests should be supplemented by other means of soliciting information about the candidates:
- Selection test cannot make a 100% prediction of an individual's on the job success. At best, they just reveal about those who have scored above cut-off points and those who have scored below cut-off points. Hence it is desirable to use test as only as supplementary method of selection.
- If the number of candidate is small the use of test is not economical. In such a case it is desirable to select persons on the basis of interview only.

Interviews

Selection tests are normally followed by personal interview of the candidates. The basic idea is to find out overall suitability of candidates for the jobs. It also provides opportunity to give relevant information about the organization to the candidates. In many cases, interview of preliminary nature can be conducted before the selection tests.

Role of Interview:

We must try and understand that interviews are so essential in the selection process that many times, selection of the candidates is made on the basis of} interview alone. If handled properly, interview contributes in, the following, ways:

- It is the only method of direct contact between the candidates and the employer in which the employer can see a candidate in" action-how he looks, his manner, his wearing, his appearance, etc., method of interaction and answering, etc.

- Many of the information can be sought through the interview, which may not be available in application form, or cannot be disclosed by the selection tests, such as: family background, future plans; etc.
- The 'interview can be used as a tool for giving information about the organization, its policies, nature of the work to be performed by the candidate salary and other benefits to be offered. Negotiations, if any, about the salary and- perks to be offered to the candidate can also be undertaken.

Hence we should remember that interview can be used 'as a method to promote goodwill among the candidates by offering courtesy, by providing vocational literature, by constructive suggestions, and by showing interest in them.

Checking Of References

Many organizations ask the candidates to provide the names of referees from whom more information about the candidates can be solicited. Such information may be related to character, working, etc. The usual referees may be previous employers, persons associated with the educational institutions from where the candidates have received education, or other persons of prominence who may be aware of the candidates' behaviour and ability. In our country, references are not given adequate importance because of their biasness but these can give very useful information, which may not be available otherwise.

Physical Examination

Physical examination is carried out to ascertain the physical standards and fitness of prospective employees. The practice of physical examination varies a great

deal both in terms of coverage and timing. While many organizations do not carry physical examinations at all, others carry on a very comprehensive basis. Some organizations only have general check up of applicants to find the major physical problems, which, may come in the way of effective discharge of duties. In the context of timing also, some organizations locate the physical examination near the end of the selection process, others place it relatively early in the process. This latter course is generally followed when there is high demand for physical fitness.

Approval by Appropriate Authority

On the basis of the above steps, suitable candidates are recommended for selection by the selection committee or personnel department. Though such a committee or personnel department may have authority to select the candidates finally, often it has staff authority to recommend the candidates for selection to the appropriate authority. Organizations may designate the various authorities for approval of final selection of candidates for different categories of candidates. Thus, for top-level managers, Board of Directors may be approving authority; for lower levels, even functional heads concerned may be approving authority. In university, it may be syndicate/executive committee. When the approvals

received, the candidate are informed about their selection and asked to report for duty to specified persons.

Placement.

After all the formalities are completed, the candidates are placed on their jobs initially on probation basis. The probation period may range from three months to two years. During this period, they are observed keenly, and when they complete this period successfully, they become the permanent employees of the organization. After a candidate is selected for employment, he is placed on the job. Initially, the placement may be on probation, the period of which may range from six months to two years.

After selecting a candidate, he should be placed on a suitable job. Placement is the actual posting of an employee to a specific job. It involves assigning a specific rank and responsibility to an employee. The line manager takes the placement decisions after matching the requirements of a job with the qualification of a candidate.

Most organizations put new recruits on probation for a given period of time, after which their services are confirmed. During this period, the performance of the probationer is closely monitored. If the new recruit fails to adjust himself to the job and turns out poor performance, the organization may consider his name for placement elsewhere. Such second placement is called 'differential placement'.

Usually the employees' supervisor, in consultation with the higher levels of line management, takes decisions regarding the future placement of each employee. Placement is an important human resource activity. If neglected, it may create employee adjustment problems leading to absenteeism,

turnover, accidents, poor performance, etc. The employee will also suffer seriously. He may quit the organization in frustration, complaining bitterly about everything. Proper placement is, therefore, important to both the employee and the organization. The benefits of placements may be summarized thus,

Major Benefits of Proper Placement

The employee is able to:

- Show good results on the job.
- Get along with people easily.
- Keep his spirits high, report for duty regularly.
- Avoid mistakes and accidents.

TOPIC 7: ELEMENTS OF MARKETING

THE DIFFERENCE BETWEEN MARKETING AND SELLING

Marketing involves a number of business activities. It involves finding needs and wants and satisfying them. In terms of economics, our needs and wants are unlimited and the resources with which we can satisfy those needs and wants are unlimited and it is therefore impossible to satisfy our needs and wants.

Marketing can also be defined as a human activity directed at satisfying needs and wants through exchange processes. A need is a state of felt deprivation of some generic satisfaction arising out of human condition.

Selling has today moved away from the short-term quick scenario to partnering and relationship building as according to key account management (KAM), 'you do not sell to people, you partner with them'.

Combative salesmen are being transformed into customer servants. According to Smith and Taylor, selling is about building durable relationships that are dependent on satisfying the customer constantly.

However vivid the message put over by advertising, there is no substitute for the final face-to-face meeting between the buyer and seller as advertising creates the interest and the desire whilst personal selling clinches the deal and is the most expensive form of promotion.

THE MARKETING MIX

The marketing communications mix

Promotion describes the communications activities of advertising, personal selling, sales promotion and publicity/public relations.

Advertising is a non-personal form of mass communication, paid for by an identified sponsor. Personal selling involves a seller attempting to persuade a potential buyer to make a purchase. Sales promotion encompasses short-term activities such as giving coupons, free samples, etc. that encourage quick action by buyers. The company has control over these three variables, but has little control over the fourth variable, publicity/public relations. This is another non-personal communication method that reaches a large number of people, but it is not paid for by the company and is usually in the form of news or editorial comment regarding a company's product or service. Companies can gain some control over the publicity it receives by the release of news items.

Put together, these promotional activities make up the promotional or communications mix with varying emphasis on each element according to the type of product or service, characteristics of consumers and company resources. Company size, competitive strengths and weaknesses and style of management all influence the promotional mix. Other communications elements with which promotion must be coordinated are the product itself, price and distribution channels used. Product communication, including brand name, design of packaging and trade-marks are all product cues which convey a

message about the total product offering. Price can communicate different things under varying circumstances, for instance conveying 'prestige appeal' for those buyers who perceive that a high price is equal to quality and prestige. The place in which the products are to be found also has notable communications value. Retail stores have 'personalities' that consumers associate with the products they sell. Products receive a 'halo effect' from the outlets in which they can be found and two stores selling similar products can project entirely different product images. For example, a perfume sold through an upmarket store will have a much higher quality image than one sold through supermarkets.

5 The Marketing Communications Process

Effective communication means effective marketing. Buyers' perceptions of market offerings are influenced by the amount and type of information they receive as well as their reaction to that information. There must be a good flow of information between seller and buyer to assist decision-making that precedes a purchase. An effective marketing communications system also allows feedback from the consumer to the seller.

Some people have a psychological predisposition to buy products and services that are 'new' to the market. This predisposition can be modeled with the use of a normal distribution. Certain people derive a great deal of pleasure from acquiring new products and being first in the market. Such people have a low level of perceived risk and in fact they positively like the risk and excitement associated with the purchase of new, innovative products. These people are referred to as 'innovators' and, according to Everett Rogers account for about 2.5 % of the population. The next group of people displaying a tendency to buy new products are known as 'early adopters' and account for approximately 13.5 % of the market. These are still highly adventurous purchasers and the possession of innovative new products gives them a high present value. They still have a low level of perceived risk but are slightly more risk adverse than the 'innovator' category.

The next two groups, 'Early Majority' and 'Late Majority' account for the bulk of the potential market, 64% in all. Most people fall in to one of these categories. Finally the 'Laggards' are people who are not really infested in new product development and tend to purchase products only when their old product is worn out and stops working. This theme is returned to later under product issues.

A key question for the marketing communicator is: Are the innovators and early adopters also opinion leaders? The majority of potential customers are too risk adverse or too disinterested to be 'first in the market' for an innovation. They are largely unaffected by the media communication about the innovation. Instead, they are influenced by people that they know who they regard as opinion leaders. Although some individuals may be innovators for many products and services, it is more likely that they will be classified as such for a limited range of products. For example a computer enthusiast may be regarded as a 'innovator' for new computer products'. Similarly, someone who is interested in photography may be regarded as opinion leaders in relation to this product but not others.

A new brand of toothpaste containing baking soda is not really that new to people; after all, it is still just toothpaste. A vacuum cleaner for your garden is on the other hand quite a radical innovation. These products have recently come on to the market although most people, even keen gardeners seem a little unsure as to whether they should buy one or not. If these products are good, then the message will soon circulate by word of mouth and soon most households will own one, just as most own a lawn mower or a lawn

edger and indeed these latter products were considered to be a radical innovation only a few years ago.

6 Marketing related messages.

Marketing communications can be defined as the process of:

1. presenting an integrated set of stimuli to a market target with the aim of raising a desired set of responses within that market target;
2. setting up channels to receive, interpret and act on messages from the market to modify present company messages and identify new communications opportunities.

As both a sender and a receiver of market-related messages, a company can influence customers to buy its brands in order to make profit. At the same time it can stay in touch with its market so that it can adjust to changing market conditions and take advantage of new communications opportunities.

6.1

The source of the message

Receivers of a message are often greatly influenced by the nature of its source. If an audience perceives a communicator as credible, then they will be more likely to accept his or her views. If, on the other hand, the audience believes that the communicator has underlying motives, particularly ones of personal gain, then he or she will be less persuasive than someone the audience perceives as being objective. Some advertisers use 'candid' television interviews with homemakers in order to enhance their credibility and eliminate intent to persuade, sometimes asking 'consumers' to explain why they buy a particular brand or asking them to trade their chosen brand for another.

Another method used by companies to increase credibility is to have the product endorsed by an expert with appropriate education and knowledge on a given subject.

This source will be more successful in changing audience opinions. Specialized sources of information are often perceived as expert sources, and are successful due to the fact that messages are aimed at selected audiences, for example the use of sports professionals as promoters for brands.

The credibility of a source is also a function of its perceived status or prestige. The higher the perceived status of a source, the more persuasive it will be. If a receiver likes a source, it will be more persuasive. It is clear that age, sex, dress, mannerisms, accent and voice inflection all affect source credibility and subtly influence the way an audience judges a communicator and his/her message.

A source high in credibility can change the opinion of receivers, but available evidence suggests that this influence disperses in a short time after the message is received. It has also been observed that where an audience initially receives a message from a low-credibility source, their opinion change increases over time in the direction promoted by the source.

This is referred to as the sleeper effect. Another aspect of this is that when a high-credibility source is reinstated, for example by a repeat advertisement, it has been found that audience agreement with the source is higher after a period of time than if the source had not been reinstated. For a low-credibility source, reinstatement results in less agreement with the source than with no reinstatement, and it is said that under these circumstances reinstatement negates the 'sleeper effect'.

7 Media Advertising

Media advertising communicates information to a large number of recipients, paid for by a sponsor. It has three main aims:

1. To impart information
2. To develop attitudes
3. To induce action beneficial to the advertiser (generally the purchase of a product or service).

An advertisement for washing powder is paid for by the manufacturer to achieve greater sales; a party political broadcast aims to increase votes. It must be remembered that advertising is only one element of the communications mix, but it does perform certain parts of the communicating task faster and with greater economy and volume than other means.

How large a part advertising plays depends on the nature of the product and its frequency of purchase. It contributes the greatest part when:

1. Buyer awareness of the product is low
2. Industry sales are rising rather than remaining stable or declining
3. The product has features which are not obvious to the buyer
4. The opportunities for product differentiation are strong
5. Discretionary incomes are high
6. A new product or new service idea is being introduced.

8 Advertising models

These have been drawn from several sources, particularly psychology, and from advertising practitioners in order to explain how advertising works.

8.1 The stimulus/response formula

This was used at first, later models taking into consideration the environment in which the decision to buy is made. Daniel Starch said in 1925 'for an advertisement to be successful it must be seen, must be read, must be believed, must be remembered and must be acted upon'. This model assumed that the advertisement is the main influence on the state of mind of the consumer in respect of the product and makes no allowance for combined or multiple effects of advertisements.

8.2 The DAGMAR philosophy

Colley's DAGMAR model in 1961 (Defining Advertising Goals for Measured Advertising Results) allows for the cumulative impact of advertisements and also maps out the states of mind consumers pass through:

1. From unawareness to awareness;
2. to comprehension;
3. to conviction;
4. to action.

This is described as the marketing communications spectrum. Advertising, along with promotion, personal selling, publicity, price, packaging and distribution, move the consumer through the various levels of the spectrum as follows:

Unawareness/awareness The advertisement tries to make potential customers aware of the product's existence.

Comprehension The customer recognizes the brand name and trademark and also knows what the product is and what it does; knowledge gained from the advertisement or from an information search prompted by it.

Conviction The customer has a firm attitude, preferring a particular brand over all others. Preferences may have an emotional rather than rational basis.

Action Some move is made towards purchase, thus the advertisement has been acted upon.

This illustrates the concept that the purpose of advertising is to cause a change of mind leading toward purchase, but it is rare for a single advertisement to have the power to move a prospect from complete unawareness to action. Effectiveness is judged by how far an advertisement moves people along the spectrum.

8.3

The Lavidge and Steiner model

This consists of a hierarchical sequence of events on six levels:

1. Awareness
2. Knowledge
3. Liking
4. Preference
5. Conviction
6. Purchase

These steps divide behaviour into three dimensions: cognitive (the first two), affective (the second two) and motivational (the third two). Although this differs from the 'DAGMAR' model in the number and nature of stages, there is agreement that purchase is the result of the persuasion elements, making the assumption between changes in knowledge and attitude towards a product and changes in buying behaviour there is a predictable outcome.

Dissonance theory, however, illustrates a two-way relationship, with behaviour influencing attitudes as well as attitudes influencing behaviour. After making a decision to purchase, the prospect will be involved in cognitive dissonance and will actively seek information to reinforce the decision, focusing on attractive features and 'filtering out' unfavourable data. The major implication of this is that advertising for existing brands in the repeat purchase market should be aimed at existing users to reassure them in the continuation of the buying habit at the expense of the competition.

8.4 The Unique Selling Proposition

This was developed by Rosser Reeves (1961) who reported the principles his agency had adopted for 30 years. This states that the consumer remembers one key element of an advertisement - a strong claim or concept. This proposition must be one that the competition does not offer, which will be recalled by the consumer and will result in purchase at the appropriate time.

8.5 The 'brand-image' school

This was led by advertising practitioner David Ogilvy who focused on non-verbal methods of communication to invest a brand with agreeable connotations aside from its actual properties in use, such as prestige and quality.

It must be remembered that an advertisement is the channel through which the sponsor communicates their message.

The encoded message reaches recipients, through advertising or salespeople, who then decode and absorb it either fully or partly. The quality of the transmission can be distorted by 'noise' occurring because the receiver does not interpret the message in the way the source intended (due perhaps to differences in cultural backgrounds of the two parties). It may however be because of cognitive dissonance which occurs when peoples' receipt of the message does not agree with what they previously believed.

Dissonance may cause a number of different reactions by the receiver:

1. Rejecting the message
2. Ignoring the message
3. Altering the previous opinion
4. Searching for justifications

The first two reactions are of course negative, and from this feedback the source may change the message or stop communicating altogether with a particular receiver who is

not receptive to the source's ideas. It can, therefore, be seen that advertising does not always convert people into users of a particular product. It can, however, have a positive effect in preventing loss of users, and increasing their loyalty.

8.6 Advertising by objectives

Advertising situations are so varied and unique that it is not possible to generalize about how advertising works. Any potential advertiser should therefore adopt an advertising-by-objectives approach that will make clear what they are trying to achieve, how they will achieve it and how they are going to measure its effects.

Few companies give any detailed scientific thought to exactly what they are trying to achieve through advertising. Clear objectives are needed to aid operational decisions, which include:

- The amount to be spent on a particular campaign
- The content and presentation of the advertisement
- The most appropriate media
- The frequency of display of advertisements or campaigns
- Any special geographical weighting of effort
- The best methods of evaluating the effects of the advertising.

Corkindale and Kennedy (1976) found that systematically setting and evaluating objectives provided the following benefits.

1. Marketing management has to consider and define in advance what each element in the programme is expected to accomplish.
2. An information system can be set up to monitor ongoing performance, with the nature of information required clearly defined.
3. Marketing management will learn about the system it is operating from accumulated experience of success (and failure) and can use this knowledge to improve future performance.

Majaro's (1970) major study on objective setting revealed that most managers saw increasing sales or market share as their main advertising objective. In fact, this is a total marketing objective and it is unreasonable to expect to achieve this objective through advertising alone (unless it was the only element of the marketing mix used, as in direct mail and mail order businesses). Majaro's study also revealed that methods of evaluation used by most companies were not relevant, and that clear, precise advertising objectives, known to all involved, would rectify this situation. The following advantages of the advertising-by-objectives approach became clear.

1. It helps to integrate the advertising effort with other ingredients of the marketing mix, thus setting a consistent and logical marketing plan.
2. It facilitates the task of the advertising agency in preparing and evaluating creative work and recommending the most suitable media.
3. It assists in determining advertising budgets.
4. It enables marketing executives and top management to appraise the advertising plan realistically.
5. It permits meaningful measurement of advertising results.

When setting objectives, all personnel in a company who have an interest in, and influence on, advertising decisions have different ideas of the purpose of advertising. The Chairman may be concerned with corporate image, whilst the Advertising Manager may see it as an investment direct toward building a brand image and increasing market share. Marketing objectives have to be separated from advertising objectives. Overall

marketing objectives should be defined, and the next step is to determine the contribution that advertising can efficiently make to each of these. An advertising objective is one that advertising alone is expected to achieve.

Advertising objectives should be set with the following points in mind.

1. They should fit in with broader corporate objectives.
2. They should be realistic, taking into account internal resources and external opportunities, threats and constraints.
3. They should be universally known within the company, so that everyone can relate them to his or her own work and to the broader corporate objectives.
4. They need to be flexible, since all business decisions have to be made in conditions of partial ignorance.
5. They should be reviewed and adapted from time to time to take account of changing conditions.

Setting advertising objectives should not be undertaken until all relevant information on the product, the market and the consumer is available. Consumer behaviour and motivation must be thoroughly assessed, particularly that of the company's target group of customers. The statement of an advertising objective should then make clear what basic message is intended to be delivered, to what audience, with what intended effects and the specific criteria to be used to measure success.

Corkindale and Kennedy used five key words to summarize the elements of setting advertising objectives:

1. **WHAT** What role is advertising expected to fulfill in the total marketing effort?
2. **WHY** Why is it believed that advertising can achieve this role? (What evidence is there and what assumptions are necessary?)
3. **WHO** Who should be involved in setting objectives; who should be responsible for agreeing the objectives, coordinating their implementation and subsequent evaluation? Who is the intended audience?
4. **HOW** How are the advertising objectives to be put into practice?
5. **WHEN** When are various parts of the programme to be implemented? When can response be expected to each stage of the programme?

9 'Below-the-line' promotion.

The terms 'below-the-line' promotion or communications, refers to forms of non-media communication, even non-media advertising. Examples of non-media 'promotions' are exhibitions, sponsorship activities, public relations and sales promotions such as competitions, banded packs and price promotions. Below-the-line promotions are becoming increasingly important within the communications mix of many companies, not only those involved in fmcg products, but also for industrial goods. For example dealer incentives, exhibitions and sponsorship activities are all growing in popularity. All forms of non-media communications are a form of 'promotion' if we use the word in the broadest sense. Specific forms of 'below-the-line sales promotion' are discussed below.

9.1 Below the line sales promotion

Below the line sales promotions are short term incentives, largely aimed at consumers, but also aimed at the 'trade' e.g. wholesalers, retailers, distributors, etc., along with company employees, usually the sales force. Over the past 20 years or so there has been greater pressure on marketing budgets and a greater demand on marketing management to achieve marketing communications objectives more efficiently. Hence marketers have been searching for a more cost-effective way to communicate with their target markets than conventional media advertising. A move to below the line promotion is one result of this. A definition of below-the-line sales promotion is given by Hugh Davidson:

'An immediate or delayed incentive to purchase, expressed in cash or in kind, and having only a short term or temporary duration'.

This definition highlights one important characteristic of below-the-line sales promotion that is its short term nature. Most conventional above the line advertising campaigns are medium to long term in nature. Below the line sales promotions tend to be short term in nature. Rarely does a sales promotion last for more than six months, and the majority last for much shorter periods.

All promotions are variations of one basic type or another, but since the sales promotion is dynamic by nature new types will be developed in the future. The sphere of sales promotions generally include the following:

- Display materials (stands, header boards, shelf strips, 'wobblers')
- Packaging (coupons, premium offers, pack flashes)
- Merchandising (demonstrations, auxiliary sales forces, display arrangements)
- Direct mail (coupons, competitions, premiums)
- Exhibitions

Industrial promotions also include the above elements, but with modifications to make them closer in type to those used by manufacturers of consumer goods for their retailers; designed to gain orders over long periods.

9.2 Sales promotion planning

A full plan is needed to ensure that each stage of a promotion is reached:

1. Analyse the problem task
2. Define objectives
3. Consider and/or set the budget
4. Examine the types of promotion likely to be of use
5. Define the support activities (e.g. advertising, incentives, auxiliaries)
6. Testing (e.g. a limited store or panel test)
7. Decide measurements required
8. Plan timetable
9. Present details to sales force, retailers, etc.
10. Implement the promotion
11. Evaluate the result

9.3 Advantages and disadvantages of sales promotions

Advantages

- Easily measured response
- Quick achievement of objectives
- Flexible application
- Can be extremely cheap

- Direct support of sales force

Disadvantages

- Price-discounting can cheapen brand image
- Short-term advantages only
- Can cause stress with retailers
- Difficulty in communicating brand message

9.4 The importance of sales promotion

It is often difficult to know which 'marketing' expenditures can be attributed to sales promotion. For example price reduction can cause confusion - 10% off a packet of biscuits is a sales promotion, but what about price discounting by manufacturers?

10 Telephone marketing

Telemarketing can be defined as 'any measurable activity that creates and exploits a direct relationship between supplier and customer by the interactive use of the telephone'. The American Telephone and Telegraph Company define it as 'the marketing of telecommunications technology and direct marketing techniques'.

Telephone marketing can take the forms of 'in-coming call' and 'out-going call'. In-coming call telephone marketing usually makes use of special numbers, which enables the caller to call 'free-phone' or at local call rates. Such campaigns are usually used in conjunction with other marketing communications 'tools'.

11 Direct mail and direct marketing

Direct mailing is the use of the postal service to distribute promotional material directly to a particular person, household or firm. It is often confused with the following related activities, which all fall under the general heading of 'direct marketing'.

1. **Direct advertising** One of the oldest methods of reaching the consumer, with printed matter being sent directly to the prospect by the advertiser, often by mail, but sometimes by through the letter box personal delivery, handing out to passers-by or left under the screen wiper of a car.
2. **Mail order** Mail order advertising aims to persuade recipients to purchase a product or service by post, with deliveries being made through the mail or other carrier or through a local agent. Thus it is a special form of direct mail, seeking to complete the sale entirely by mail and being a complete plan in itself. Mail order is a type of direct mail, but not all direct mail is mail order.
3. **Direct response advertising** This is a strategy of using specially designed advertisements, usually in magazines or newspapers, to invoke a direct response, such as the coupon-response press ad, which the reader uses to order the advertised product or request further information. Other variants offer money-off coupons and incentives to visit the retail outlet.

The usage and acceptance of direct mail is increasing rapidly, and one reason for this is that the media has become increasingly fragmented, with many commercial TV channels and the rapid growth of 'freesheets' and special interest magazines. This means that advertisers have to either spend more money to reach their audience, or spread the same amount over a wider range of media. Improvements in the quality of large mailshots have attracted an increasing number of large advertisers. Direct mail, with increasing sophistication of computerisation, now enables advertisers to segment and target their markets with greater flexibility, selectivity and personal contact.

Direct mail can be used to sell a wide range of products or services, and its uses are also varied. To help define direct mail more fully, it is appropriate to deal with direct mail to consumers and businesses separately.

11.1 Consumer direct mail

Some of the most common uses of consumer-targeted direct mail are:

1. **Selling direct** Direct mail is a good medium for selling a product directly to the customer by a company that has a convincing sales message. It provides a facility for describing the product or service fully and for an order to be sent straight back, cutting out the 'middlemen'.
2. **Sales lead generation** Some products/services require a meeting between the customer and a specialized salesperson, and direct mail can be used to acquire

'qualified' leads. A mailshot that has been well thought through can reveal the best prospects and rank other leads in terms of 'potential', enabling some responses to be followed up by a salesperson. An invitation can be made for the customer to view the product in a retail outlet, showroom or exhibition. Such 'cordial-contact' mailings can create a receptive atmosphere for salespeople by building on the reputation of the company and creating a good impression, which can be converted into buying action later.

3. **Sales promotion** Promotional messages such as special offers will reach specific targets through direct mail and in the same way prospects can be encouraged to visit showrooms or exhibitions.
4. **Clubs** The most popular users of direct mail here are book clubs and companies marketing 'collectibles'.
5. **Mail order** Direct selling and recruitment of new customers and agents are possible through direct mail.
6. **Fundraising** It is easy through direct mail to communicate personally with an individual, and therefore it is an excellent method of raising money for charitable organizations. Large amounts of information can be included to induce the recipient to make a donation.
7. **Dealer mailings** Dealers or agents can use direct mail to reach the prospects in their own area.
8. **Follow-up mailings** These help to keep the company's name before the customer following a sale, for example checking that the customer is satisfied with a purchase. New developments, products and services can also be communicated or invitations issued, thus maintaining contact and increasing repeat sales.

11.2 Business direct mail

For business, this is more effective than mass advertising for identifying different market sectors and communicating to each an appropriate message. Some of the more common uses are:

1. **Product launch** Direct mail is able to target the small but significant number of people who influence buying decisions.
2. **Sales lead generation** Direct mail provides qualified sales leads, as well as doing some initial selling.
3. **Dealer support** Dealers, retail outlets, franchise holders etc. can be kept fully informed of marketing promotions and plans.
4. **Conferences** Potential delegates in specific business sections can be issued with invitations through direct mail.
5. **Follow-up mailing using customer base** Mailing existing customers regularly encourages repeat sales.
6. **Market research/product testing** Market research (especially amongst existing customers) can be very effective where it is possible to do this through direct mail, using questionnaires as part of a regular communication programme. Small-scale test mailings can give an accurate picture of market reaction, with low risk, and a successful product can later be mailed to the full list.

11.3 Direct mail as part of the promotional mix

When direct mail is added to, say, a television or press campaign, the effectiveness of the overall campaign can be significantly raised. The media reaches a broad audience and can raise general awareness of the company and its products, while the direct mail campaign is targeted specifically at the groups of people or companies most likely to buy. Mailing lists of respondents to couponed press advertisements or television or radio commercials with a 'phone-in' number can be used for direct mail approaches.

12 Exhibitions

Exhibitions are another form of below the line promotional activity. As with many other below-the-line methods they are growing in use and popularity. They come in three basic forms.

1. those aimed at the consumer,
2. those aimed solely at the trade,
3. those aimed at and open to both.

The third category has become the most common. Most exhibitions start off as trade exhibitions and then after the first week or so when all of the 'trade' business has been conducted they are usually opened to the public. The public usually pays an entry fee that brings in revenue for the exhibition organiser and helps to pay for the costs of actually staging the exhibition. The general public may have an actual interest in the products and services being exhibited for example Clothes Shows, Motor Shows and Home Exhibitions. Sometimes the products and services are of little direct interest to the general public. That is, they are highly unlikely to buy any of the products on show, but nevertheless attendance at the exhibition can be a 'good day out' (e.g. an agricultural show or an air show) and the public is prepared to pay for this privilege.

Exhibitions tend to attract a high quality audience and company directors will often attend an important trade exhibition. Such trade exhibitions offer the marketing firm the opportunity to come in personal contact with high status decision making unit (DMU) members.

13 Sponsorship

Like most below the line activity, this is growing in popularity. In some ways sponsorship achieves many of the functions of exhibitions especially in terms of audience quality. We have already established that in business to business marketing environments, high status decision making unit members are notoriously difficult to contact on a personal basis. The firm sponsoring an event can invite important members of a prospective customer company's DMU to the event thereby enabling personal contact to be made in a social setting.

Summary

The marketing communications mix is made up of personal selling, a range of conventional advertising media and a range of non-media communication tools. The conventional media tools, which involve 'renting' space on television, newspapers, posters, radio etc. are referred to as 'above-the-line' promotional techniques. Other marketing communications techniques, such as sales promotion, sponsorship and exhibitions do not involve the commissioning of space or air-time in or on conventional media. These techniques are referred to as below the line techniques. Marketing effectiveness depends significantly on communications effectiveness. The market is activated through information flows.

The way a potential buyer perceives the seller's market offering is heavily influenced by the amount and kind of information he or she has about the product offering, and the reaction to that information. Marketing, therefore, relies heavily upon information flows between the seller and the prospective buyer. To many people marketing communications, such as television advertising, direct mail and poster advertising is marketing.

This is because marketing communications is certainly the most highly visible aspect of marketing activity and it impacts on everyday on life. Marketing communications, whether above or below the line activity, is collectively just one of the '4P's' of the marketing mix. However, it is a very important part. No matter how good a firm's product or service offering is, the benefits to the consumer need to be communicated effectively.

Marketing communications, in the form of above and below the line promotion, lies at the very centre of any marketing plan.

CHANNELS OF DISTRIBUTION AND SALES MANAGEMENT

Introduction

This resource material investigates the routes marketing companies take when attempting to ensure that their goods and services reach the intended market or market segments.

The term 'distribution system' refers to that complex of agents, wholesalers and retailers through which manufacturers move products to their intended markets. Marketing channels are usually made up of independent firms who are in business to make a profit. These are known as marketing intermediaries or **middlemen**. Distribution outlets can include combinations of owned and independent outlets or arrangements like franchising.

2 Direct versus indirect systems

In designing a distribution system, a manufacturer must make a policy choice between selling directly to customers and employing salespeople and using intermediaries i.e. selling through agents, wholesalers and retailers. Initially, the decision is usually based on cost factors: Distribution costs are largely a function of:

- 1 the number of potential customers in the market;
- 2 how concentrated or dispersed they are;
- 3 how much each will buy in a given period;
- 4 costs associated with the practical side of the distributive operation (e.g. transport, warehousing and stockholding all of which are dealt with in detail in Chapter 10).

If the manufacturer has a large enough potential sales volume, there may be a strong case for selling direct and employing a sales force.

Industrial goods manufacturers tend to use direct selling and often deliver direct to the user/customer, although in some cases wholesalers or 'factors' are used. Consumer goods manufacturers tend to use a network of marketing intermediaries because of the dispersion and large numbers of potential customers. Again, there are exceptions (e.g. Avon Cosmetics who sell direct to homes through agents). Most often, manufacturers will sell to wholesalers who, in turn, break bulk, add on a mark-up and sell to retailers. However, with the increased size and power of the large food multiples, manufacturers sell direct to them and they perform their own wholesaling function. Whether selling through retail chains, or wholesalers then retailers, the important point is that the manufacturer relies on these middlemen for ultimate marketing success, as it is these intermediaries who have the responsibility of taking the product to the ultimate consumer.

3 The nature of distribution

Distribution arrangements tend to be long term in nature. Because of this time horizon, channel decisions are usually classed as strategic, rather than tactical or operational ones. There are two reasons for treating channel decisions in this way:

- 1 Channel decisions have a direct effect on the rest of the firm's marketing activities. For example, the selection of target markets is affected by, and in turn affects, channel design and choice. Similarly, decisions about individual marketing mix elements (e.g. pricing) must reflect a company's channel choice.

- 2 Once established, a company's channel system may be difficult to change, at least in the short term. Although distribution channels are not impervious to change and new channels emerge as old established channels fade, few companies are able to change their channel structure with the same ease of frequency as they can change other marketing mix variables like price or advertising strategies. Because channel arrangements are likely to change slowly over time, manufacturers need to continually monitor the distributive environment and reassess their existing channel structure in an attempt to exploit and capitalise on any change. However, they should be aware of developments that are taking place, so as not to be caught off guard. Nowhere is this more true than in the case of the speed of development of the internet as a direct retailing medium, that has caught many traditional distributors off balance.

- 4 Strategic elements of channel choice

An important consideration for marketing management in formulating channel policy and the number of marketing intermediaries used is the degree of market exposure sought by the company for its products. Three distribution strategies, resulting in varying degrees of market exposure, can be distinguished.

 - 4.1 **Intensive distribution**

Products, when viewed by consumers in their totality, are seen as a **bundle of attributes** or satisfactions including possession utilities and time and place utilities. Producers of convenience goods and certain raw materials aim to stock their products in as many outlets as possible (i.e. an intensive distribution strategy). The dominant factor in the marketing of such products is their place utility. Producers of convenience goods such as pens, confectionery and cigarettes try to enlist every possible retail outlet, ranging from multiples to independent corner shops, to create maximum brand exposure and maximum convenience to customers. With such products, every exposure to the customer is an opportunity to buy, and the image of the outlet used is of less significant factor in the customer's mind than the impression of the product.
 - 4.2 **Exclusive distribution**

For some products, producers deliberately limit the number of intermediaries handling their products. They may wish to develop a high quality brand image. Exclusive distribution to recognised official distributors can enhance the prestige of the product. Exclusive (or solus) distribution is a policy of granting dealers exclusive rights to distribute in a certain geographical area. It is often used in conjunction with a policy of exclusive dealing, where the manufacturer requires the dealer not to carry competing lines. Car manufacturers have such arrangements with their dealers. With the arrangement goes a stipulation by the manufacturer that the distributor is able to uphold appropriate repair, service and warranty handling facilities. By granting exclusive distribution, the manufacturer gains more control over intermediaries regarding price, credit and promotional policies, greater loyalty and more determined selling of the company's products.

4.3 Selective distribution

This policy lies somewhere between the extremes just described. The manufacturing firm may not have the resources to adequately service or influence the policies of all the intermediaries who are willing to carry a particular product. Instead of spreading its marketing effort over the whole range of possible outlets, it concentrates on the most promising of outlets.

Channel members should have certain facilities in order to store and market products effectively, for example, frozen food products require that intermediaries have adequate deep freeze display facilities. Specialised resources may be necessary, for example, certain ethical pharmaceutical products require that intermediaries are capable of offering advice as to the use and limitations of the product, so such products might be restricted to pharmacies. The product may have a carefully cultivated brand image that could be damaged by being stocked in limited line discount outlets where products are displayed in a functional way to reduce overheads and the final price. Selective distribution is used where the facilities, resources or image of the outlet can have a direct impact on customers' impressions of the product. An example here is 'up market' brands of perfume.

5 Changing channel systems

Cravens (1988) stated that channels do change and manufacturers often respond too slowly to such evolution. Individual changes may be small when viewed in isolation, but cumulative change can be significant. When planning long-term channel strategy, companies need to monitor such change and attempt to anticipate future macro-environmental developments and a good example of such change that is now upon us has just been cited in relation to internet developments.

Change occurs at all levels in a channel system, but it has been very noticeable in UK retailing. Significant changes in retailing practice have occurred over the past three decades. This period has seen an increasing polarity in the distribution turnover of retail firms. At one end of the spectrum there are large-scale operators: multiples, discount chains and the Co-operative movement. At the other end there are many small shops. Some of these are completely independent retailers who purchase from wholesalers and 'cash-and-carry' outlets or who have joint purchasing agreements through 'retail buying associations'. Others are linked to wholesalers through the voluntary chain/group movement, sometimes called symbol shops (e.g. Spar) and are similar to franchises, explained later in this chapter. Numbers of shops have declined with an increased concentration of market share in the hands of a small number of large multiples that have grown at the expense of Co-operatives, independents and smaller multiples.

6 The wheel-of-retailing:

Growth of multiples, 'one-stop' and 'non-shop' shopping

The **wheel-of-retailing** concept refers to evolutionary change in retailing and is similar to the product life cycle concept. The concept states that new retailing institutions enter the market as low-status, low-margin, low-price operations and then move up market towards higher status, higher margin and higher priced positions. New forms of retailing can be seen as going through various life-cycle stages (i.e. introduction, growth, maturity and decline). The wheel-of-retailing appears to be turning with ever increasing speed with each new retail innovation taking less time to reach the maturity stage. For example, evidence suggests that it took approximately 50 years for the older-style department stores to reach the maturity (i.e. steady sales) stage; supermarkets took about 25 years and hypermarkets only 10 years. The concept is even analogous to Charles Darwin's theory of evolution of plants and animals that proposed a changing environment leads to adaptation and hence evolution. Darwin also explained that there is no need for adaptation in a stable environment; there has to be change for the evolutionary process to occur. We shall look at some of the environmental changes that have taken place which have instigated adaptation and evolution in retailing over the relatively short period just described.

6.1 The search for economies of scale

In search for greater profits, larger retail chains devised larger scale methods of operation and supermarkets have culminated in today's hypermarkets (stores with at least 50,000 square feet of selling space) and even larger 'megamarkets'. Each new retailing mode has led to greater economies of scale and better financial return.

6.2 The abolition of resale price maintenance (RPM)

Until the mid-1960s, manufacturers' resale prices were protected by resale price maintenance (RPM) under which retailers had to sell at prices stipulated by the manufacturers; if they sold goods below the stipulated price, further supplies could be withheld.

RPM protected small independent retailers from price competition from larger multiples because these larger operators were legally unable to pass on their cost economies to customers. There were some very well-reported case of multiples, notably Tesco, having supplies withheld for selling below a manufacturer's stipulated price (i.e. too cheaply), which was, of course, the best publicity that could have been attained.

Because RPM restricted price competition, retailers relied heavily on non-price competition, and the level of service in many stores was arguably higher than consumers needed since they would have preferred lower prices. RPM was abolished by the Resale Prices Act (1964).

This resulted in many small shops, and a number of wholesalers who traditionally supplied such outlets, going out of business. The market share that was 'freed up' fell into the hands of more efficient and powerful multiples who used their purchasing economies to compete on price and pass savings on to customers. Thus, multiples expanded at the expense of independents and the wholesalers who supplied them, as well as the Co-operative movement. The latter was ideally placed to take advantage of this environmental change (because of their size) but they were too slow to react. This was largely because of their decentralised structure in terms of the movement consisting of a large number of individual retail societies whose democratically elected members (their customers) controlled them. Ironically, the Co-operative movement (that was founded in Rochdale in 1844) was the first to innovate 'self-service' facilities during the Second World War. This was, however, done for social reasons of freeing up labour to help in the war effort, and at the end of the War they did not capitalise on this innovation and reverted to personal service.

6.3 Selective employment tax (SET)

This was a tax on 'non-productive workers' (i.e. a tax charged on selective occupations) that was introduced in 1966. Its effect was to increase shop workers' wage costs by 7 per cent, as it was the employer, not the employee, who paid the tax. SET made labour more expensive and, relatively speaking, capital investment cheaper. This encouraged many retailers (who were the largest employers of non-productive workers) to invest in capital systems (e.g. central checkout systems) that made them less reliant on labour. This gave a further push to the widespread introduction of self-service shopping. Such large investments meant that operators demanded larger, and quicker, turnover. Quicker turnover meant that consumer goods had a shorter shelf life, so they were fresher when purchased. Thus, indirectly, SET, helped the multiples to expand at the expense of their smaller competitors.

6.4 Greater market power of multiples

As the power of the multiples increased, they were able to cut out traditional wholesalers and purchase centrally, directly from manufacturers. Consumer goods manufacturers could ill afford not to be included in the multiples' product lines. Consequently, multiples were able to command very advantageous discounts from manufacturers. Independents still had to purchase through traditional wholesalers, and even though some formed wholesale groups through voluntary chains/groups, they still had difficulty in matching multiples' prices. Indeed, multiples in the 1970s were dubbed with the description: "Pile it high; sell it cheap".

The early to mid-1980s saw the introduction of 'own label' merchandise - ranges of brands commissioned by individual multiple chains bearing their own logotype (logo). In the 1970s, multiples introduced their own 'economy brands' without any logo, the idea being that such merchandise was a cheap alternative to manufacturer branded and packaged merchandise. However, consumers quickly realised that such goods, although cheaper, were usually of inferior quality.

The first operator to bring in 'own label' merchandise was Sainsburys. Other multiple operators were quick to follow, with the result that power within food retailing channels has passed from manufacturers' brands to retailers' brands. Most food manufacturers now supply retail chains with 'own label' merchandise, with a few notable exceptions (e.g. Nestlé and Kellogg) who still do not supply 'own label', as they feel that this could diminish their power within the channel (which relies on strong brands). A feature of their advertising is along the lines of: 'you will only find XXXX in an XXXX jar/pack'. This makes it clear to customers that they do not manufacture for multiples (even though their brands are often displayed alongside multiples' 'own brands' often in similar packaging). Their advertising emphasises the 'uniqueness' (USP) of their product (i.e. product characteristics that cannot be replicated).

Despite these few manufacturers who do not supply 'own label' products, in the UK the power within retail channels has definitely switched from manufacturers to retailers (unlike many other countries where power still rests with manufacturers of strongly branded products).

Some measure of the extent of change in retailing in the UK is the fact that Co-operatives had more than 25 per cent share of the retail market in the early 1960s with independent retailers commanding over 50 per cent. Now the Co-op share is down to less than 6 per cent. Tesco is more than 15 per cent and Sainsbury's is more than 12 per cent. The total share of independents' market share, including those who belong to voluntary groups, is now down to 20 per cent.

6.5 Scrambled merchandising

In an affluent society like the UK consumption of food products is relatively income inelastic. In other words, people do not buy more food when they have more money. Instead, they tend to 'trade up' and consume better quality foods. Therefore, in order to expand their businesses, large multiples have diversified, stocking non-food products to further their turnover and profits. Many multiples now sell such items as electrical goods, garden supplies and clothing, and many no longer seem like 'food stores'. However, some of these multiples have decided to go back to their core business of food retailing, or clearly differentiate such business from their core activities (e.g. Sainsbury's Homebase), because of the confused '**scrambled merchandising**' images associated with non-food retailing.

6.6 'One stop' shopping

Multiples have introduced hypermarkets and megastores to capitalise on the desire for the concept of 'one stop' shopping. As well as shopping for most of a family's needs, from gardening materials and electrical goods to food under one roof, there is an increasing tendency for customers to shop less frequently (perhaps fortnightly or even monthly instead of weekly). Payment is increasingly made by credit card or switch cards where the customer's bank account is debited immediately the transaction has been completed, rather than with cash. These trends have been brought about, and will continue, because of:

1. Growth in car ownership and the number of two car families. This has brought increased mobility and the ability to travel to 'out-of-town' sites. Such stores have large catchment areas, sufficient to warrant the investment in land, building and facilities. Usually, major operators are also able to attract ancillary shops such as travel agents, newsagents and florists, to open shops on the same site, so the complex becomes like a little 'town' in itself. An extension of this idea is the establishment of 'metro centres' which are usually located near large urban conurbations. Such complexes are designed for car travel as parking is easy, and these complexes are closed to the elements (e.g. covered walkways from car parks as well as the retail centre itself). The idea is not only to make shopping a more 'pleasant' experience, but to encourage larger, bulk purchases.
2. A greater proportion of married women work, which means that family time is often at a premium, especially if there are children to look after. Time is no longer available for the luxury of 'browsing' in the shopping sense. This rise in average total family income has meant that a wife's income is often a major contributor to the household budget, especially now that the notion of 'equal pay for equal work' has legal status.

3. Greater ownership of freezers coupled with greater car ownership means that shoppers can transport and effectively store larger volumes of food, thereby benefiting economically from bulk purchasing. In addition, universal microwave cooker ownership has boosted sales of 'instant' meals, many of which are cooked from frozen.
4. A shift in the population from urban to suburban centres has occurred (unlike poorer countries where the shift is usually toward the cities). City congestion discourages car drivers who prefer to shop in large out-of-town establishments where parking is adequate and usually free. However, this trend has recently been reversed with the 'gentrification' of some inner city areas to provide high capacity living accommodation mainly for younger people.

5. The 'division of labour' within marriage is no longer clearly defined. 'Modern' husbands, especially those in the B, C1 and C2 social categories, share roles previously regarded as being the province of their wives. They now help with shopping unselfconsciously, and share tasks like looking after children which most husbands 30 years ago would not have considered. 'Family shopping' (with a far wider range of merchandise being offered) has now become the 'norm'.

7 'Business format' franchising

To franchise means to 'grant freedom to do something' (derived from the French verb *affranchir*, meaning 'to free'). Franchising is a system of marketing and distribution constituting a contractual relationship between a seller (franchiser) and the seller's distributive outlets (owned by franchisees). The common basic features of franchising are:

1. The ownership by an organisation (the franchiser) of a name, idea, secret process or specialised piece of equipment or goodwill.
2. A licence, granted by the franchiser to the franchisee, that allows the franchisee to profitably exploit that name, idea, or product.
3. The licence agreement includes regulations concerning the operation of the business in which licensees exploits their rights.
4. A payment by the licensee (e.g. an initial fee, royalty or share of profits) for the rights that are obtained.

Franchising is highly developed in the USA, and although it is popular in the UK, it is a relatively recent phenomenon. This has led people to believe that it is an 'imported' idea. However, its roots can be traced back to the middle-ages when important 'personages' were granted the right to collect revenues in return for various services and considerations (e.g. to carry out trades to the exclusion of others in certain areas).

The 'tied' public house (where the publican could only sell ale brewed by the brewery to which it was 'tied') is an example of franchising that existed in Britain since the 18th century. This has been ameliorated since the early 1990s because monopolies legislation has compelled breweries to sell off many 'tied houses' as it was viewed as a restrictive practice. Franchising has come a long way since its early origins. It has been taken from the UK to the USA, where it evolved and developed, and has been re-exported back to the UK in a more sophisticated form.

The development of franchising in the USA dates back to the end of the American Civil War (1865) when the Singer Sewing Machine Company franchised exclusive sales territories to financially independent operators. In 1898, General Motors used independently owned businesses to increase its distribution outlets.

Rexall followed with franchised drugstores, and the soft-drink manufacturers Coca-Cola and Pepsi-Cola licensed bottling.

The modern American concept of the **business format franchise** has gathered strength in Britain since the early 1960s. It contains all the components of a fully developed business system. The franchiser's brand name and business format are used for the exclusive purpose of marketing an agreed product or service from a 'blueprint', with the franchiser providing assistance in organisation, training, merchandising and management, in return for a 'consideration' from the franchisee. The 'formula' is very carefully prepared so as to minimise risk when opening the business. The basic principle that attracts new franchisees is that other people have followed the same scheme, and since they have been successful, new entrants should also be successful. The franchiser (normally a large business) supplies a franchisee with a business package or 'format', a trade name and specific products or services for sale to the general public. In most cases, the franchisee pays royalties and, in turn, is granted exclusive access to a defined geographical area.

8 Growth in 'non-shop' shopping

During the past 30 years, as well as the many developments of new types of stores in retail marketing channels (e.g. supermarkets, hypermarkets, limited line discount stores) there has also been a marked increase in various forms of 'non-shop' selling that are now discussed.

8.1 'Door-to-door' direct selling

This is a relatively expensive operation, but having no wholesaler and retailer margins means that the expense is counterbalanced (e.g. Avon Cosmetics and Betterware). It means that manufacturers' agents have to build up their clientele among customers in the local community in the expectation that they will purchase from a catalogue on a regular basis.

8.2 Party Plan

This method of direct selling is popular for products such as cosmetics, plasticware, kitchenware, jewellery and linen products. A 'party' is organised in the home of a host or hostess who invites friends, and receives a 'consideration' in cash or goods based on the amount that these friends purchase. It is sometimes resented, as friends often feel there is a moral obligation to purchase.

8.3 Automatic vending

This form of retailing has grown dramatically since the 1960s and is now used for beverages, snacks, confectionery, personal products, cigarettes and sometimes newspapers. Vending machines are placed in convenient locations (e.g. garage forecourts, railway and bus stations, colleges, libraries and factories). Automatic vending also supplies entertainment through juke boxes and arcade games.

Vending machines can also be used to provide services, as seen by the widespread introduction of cash-dispenser machines provided by financial institutions. As well as dispensing cash, these machines answer balance enquiries, take requests for statements and cheque books and receive deposits.

8.4 Mail order catalogues

Businesses that use mail order selling are either catalogue or non-catalogue. The former relies heavily upon comprehensive catalogues to obtain sales, but sometimes use local agents to deal with order collection and administration. Products can be purchased interest-free and extended credit terms are available for major purchases. There are also a number of specialist mail-order houses dealing with a limited range of specialist, often 'unusual' or 'exclusive' lines, that are difficult to find in shops.

8.5 Non-catalogue mail-order

This usually relies on press and magazine advertising, and is used to sell a single product or limited range of products. 'Craft' products are often promoted in this way.

8.6 Other 'direct' marketing techniques

The use of direct mail is where a promotional letter and order form is sent through the post. Organisations using this method include book and record clubs. Television is also used, with orders being placed through a telephone call to a free

phone number and the production of credit card details. Sometimes impersonality is carried to the ultimate through an answering machine. Telephone ordering is often combined with newspaper advertising, especially in colour supplements.

8.7 Future developments

Television shopping via on-line computers is developing and will become a more popular medium along with the internet. As opportunities for leisure activities increase (e.g. sports centres and specialist activity clubs) this kind of shopping will become popular because it will free up more time to pursue such activities. This very direct kind of shopping should also make goods cheaper, since orders can be placed directly with the manufacturers without the high costs of intermediaries and their associated overheads. Credit facilities will be immediately available through electronic debiting. As computer systems become more sophisticated, and people become less 'afraid' of this new technology, it should become the growth area of retailing in the future.

9 Summary

This material has dealt principally with channel arrangements for consumer products and not said too much about industrial or organisational channels. For these latter routes, options are usually limited, as their preference is to deal direct. A fuller discussion of logistical implications is covered separately.